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NASDAQ: TRADING STRATEGIES

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NASDAQ: TRADING STRATEGIES

TABLE OF CONTENTS

PARTIE 1 : THE DIFFERENCE BETWEEN FOREX AND NASDAQ

Trading efficiently and profitably is the goal of all traders who inhabit this planet.

There is one quality that you must have as a successful trader and that is adaptability.

If you know me well, you know my love for the currency market which for me is one of the easiest markets to trade.

The currency market is very volatile and mostly populated by novice traders.

We often think that seeing newbies in a market is a disadvantage when it is the other way around...

If you know how to do the reverse of what newbie traders do, you automatically become a successful trader.

I grant you, in theory it sounds simple while in practice things are different...

I have been trading for several years and have always liked to be focused in one or more assets.

Especially EURUSD and EURNZD which are my two favorite pairs in the currency market.

If you are having some difficulty increasing your success rate, I strongly advise you to go for the two assets I mentioned.

In my opinion, EURUSD and EURNZD are the most easily traded pairs.

It's not just a personal preference based on a "feeling", it's true.

EURUSD and EURNZD pairs are very easy to trade because they are:

- Very volatile.
- Very liquid.
- Very readable (visually).

I spend most of my time trading EURUSD and EURNZD for the three reasons I gave you.

Additionally, EURUSD is the most traded pair in the world, therefore EURNZD follows the trend of EURUSD as they are both positively correlated.

I told you about adaptability previously, which in my opinion is one of the qualities of a successful trader.

But there is another quality that you must have, rather an asset.

That is to say a card that you will have to play when it is opportune on the markets.

All the traders in the trading room are aware of what I am about to reveal to you because it is their job.

It's like the professionals you need to act and not like the self-proclaimed traders of our century who are mostly dreamers and little or no practice ...

What you need to add to your card game is diversification.

More specifically, diversification in your portfolio of trading assets.

To put it more simply, I think sometimes you are like me in front of your screens wondering what is going on on the currency market.

You wait, you get impatient and you take the famous "boredom trade".

There is nothing to trade, but you force yourself to trade because it is getting too long.

Don't lie, we've all been there ...

The purpose of my remarks is to eliminate this impatience and for you to be focused on the real opportunities that will bring you winning trades.

That's when NASDAQ comes in...

The NASDAQ (National Association of Securities Dealers Automated Quotations) is a stock index dating from 1971 that is the second largest US stock market by volume traded.

NASDAQ is the world's largest electronic equity market.

You now know what it is theoretically.

But if you're like me, the only thing that matters to you is knowing how to make a profit on NASDAQ.

I'll explain everything to you...

What I want you to understand here is that it is possible to trade in the currency market and also on the NASDAQ.

Don't worry, your broker surely offers you the possibility of trading on the NASDAQ on MT4.

What I am going to teach you is therefore also for you.

What we're going to do is use the currency market when it's opportune to make a profit, but sometimes also the NASDAQ which offers a lot of opportunities.

The NASDAQ is very volatile and only stagnates at times that I will tell you about later.

Basically, you can trade NASDAQ very regularly by continuing to trade on the currency market.

The only time we are going to avoid trading on the NASDAQ is the week just before the Christmas holidays and during the US election.

That is to say less than a month in a year, which is ridiculous...

Why am I telling you about NASDAQ?

It is in my opinion the best alternative for trading if you are a trader who wants to free up time while making decent profits.

To trade on the NASDAQ, you don't need to be in front of your screens 10 hours a day...

The only opportune time to seize opportunities is when the US markets open.

I don't want to sell you a dream, but you are only going to be trading a few minutes (at worst 1 or 2 hours) a day on the NASDAQ.

I will give you tools that come from Futures markets and the future at the same time...

You know my policy, technical indicators are in my opinion useless and only enrich the people who develop them. It is not politically correct to say it and other traders are afraid to tell you because it is their business...

The technical indicators will make you lose, believe in my experience and my good faith.

So what I'm going to teach you, this is going to be a game changer for you.

I told you earlier about EURUSD and EURNZD.

These are two pairs that are very easy to read and therefore very easy to trade.

On the NASDAQ, it's the same thing, you can trade it very easily.

NASDAQ has other advantages:

- (Most of the time) trading commissions are very low (1 or even 2 pips).
- You can make dozens of pips, even hundreds of pips in a matter of minutes (really).
- The NASDAQ responds very well to technical analysis but also to fundamental analysis.

Basically, all the confirmations for trading are there.

Be careful, I am not inviting you to abandon the currency market which is a market where opportunities are very present.

But like I told you you're going to have another card in your deck.

This card is diversification in your assets.

We will trade sometimes on the currency market, sometimes on the NASDAQ.

If some of you are trading on other indexes, stocks and even cryptocurrencies for example, I invite you to continue.

Diversifying your trading portfolio can only be beneficial in the long term for your equity curve and your trading plan.

What we are therefore going to look for on the NASDAQ is the open of the US markets.

95% of the strategy that I am going to teach you will be based on the open of the US markets which will allow us to benefit from several leverage effects:

- A very low max drawdown (your trade will not stagnate for long around your entry point).
- A high success rate if you follow the rules.
- Less stress when you are trading because you will know the outcome of the trade quickly.

The NASDAQ can give you 100 pips in a few minutes just like you catch them in a few seconds, so you're going to have to follow the rules to the letter and act like an insider.

If you have ever read my first eBook "Japanese Candlesticks Strategies" and seen my video lessons, you know that I am very fond of large time frames which I think are essential in the currency market to win over the long term.

On NASDAQ, you will see it is different in form, but not in substance.

I will always use the "Top Down Analysis" concept which is formidable to win on the markets, no matter the strategy and the asset.

You always have to watch several time frames to win, one is not enough and will not allow you to win.

It's impossible...

On the other hand, we are going to use lower time frames because the NASDAQ is very volatile and it does not react to large time frames.

The NASDAQ moves so much during the various US sessions that it is totally useless to draw, for example, resistance on the daily or the weekly.

The NASDAQ will simply ignore the zones you have drawn and will only move according to the US session.

Everything will become clearer during the explanations

Just remember that to trade effectively on the NASDAQ, we will take advantage of the flow and certain price indicators coming from the Futures markets that I will detail next.

To give you an idea of what we are going to use to trade on NASDAQ, here is the list of the different tools:

- The momentum of the US session.
- The squares.
- Fibonacci retracements.
- Overlaps.
- The accumulations.
- The exhaustions.
- The VWAP tool.
- The volume profile.

Here is what will be used globally for trading and what I will detail in the next pages.

Maybe you feel like this is a new language, and it is...

But you want to win in trading, don't you? So hang in there...

PARTIE 2 : THE MARKET STRUCTURE ON NASDAQ

As I told you, NASDAQ does not trade like the currency market.

On the currency market, big time frames perform very well, but on the NASDAQ it's a waste of time.

You are going to waste your time waiting for turnarounds that will never happen.

Time being money, I am not going to teach you concepts that will make you waste it...

On NASDAQ, we will still use the “Top Down Analysis” concept, but with other time frames.

We will be using a total of three time frames on the NASDAQ:

- The H4.
- The M30.
- The M5.

I generally advise you to use two or three time frames to respect the "Top Down Analysis" concept.

We will do as with a puzzle, we start with the big pieces and we end with the smaller pieces.

This is what initiated traders in the trading room do.

This is dreadful because most of the time our stops are very short.

A. The H4

The H4 will be used to identify a square.

I mentioned the square to you in the list of tools I use on NASDAQ previously.

It is a simple geometric tool but which allows to identify a maximum drawdown.

To put it simply, what is the minimum point and what is the maximum point.

This square will act like a magnet because the price will always look for high points and low points on your charts.

On the currency market, I would have started with the daily instead, but here I am using the H4.

The market structure here is bullish as the price forms higher highers and higher lows.

The two yellow circles represent:

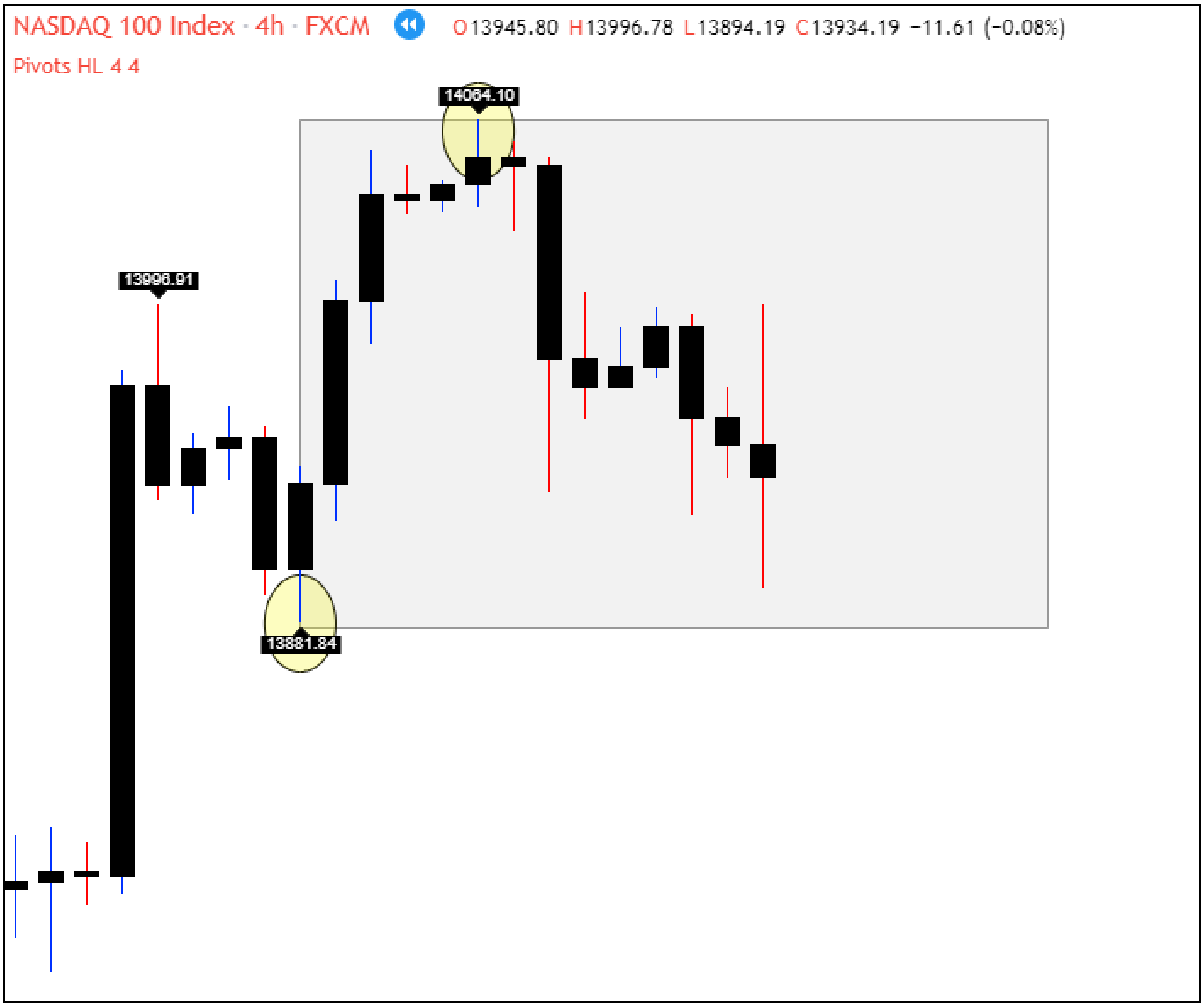
- The beginning of the square.
- The end of the square.

The two red circles represent:

- The reaction to the top of the square.
- The reaction on the bottom of the square.

The price has formed a double top then returns to seek its lowest and resumes its initial direction.

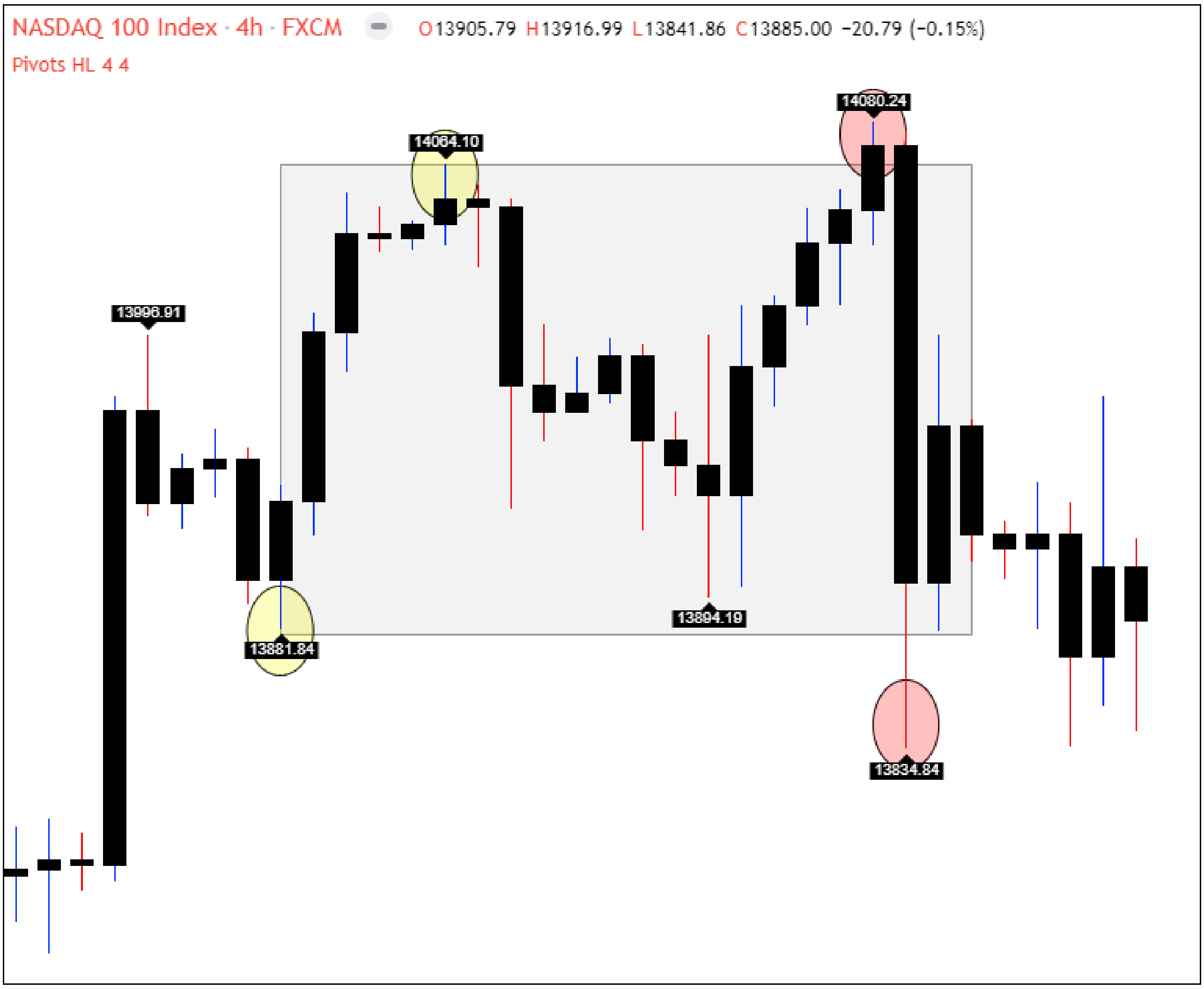
The price has closed its square here, which was to be expected.



Same example here, we are in a bullish structure.

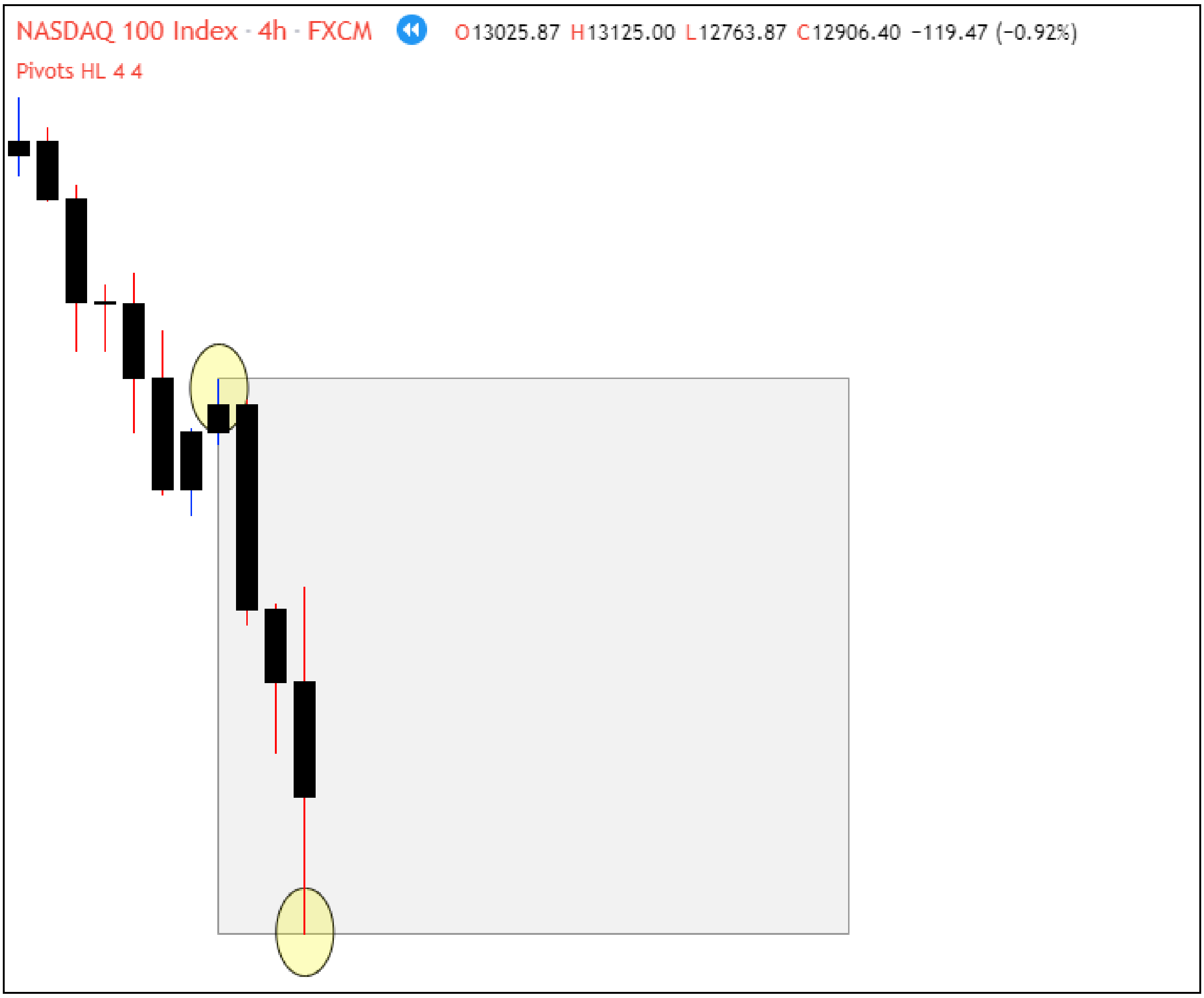
The two yellow circles represent:

- The beginning of the square.
- The end of the square.



Same concept here, the price came to close its square (two red circles) by forming a double top.

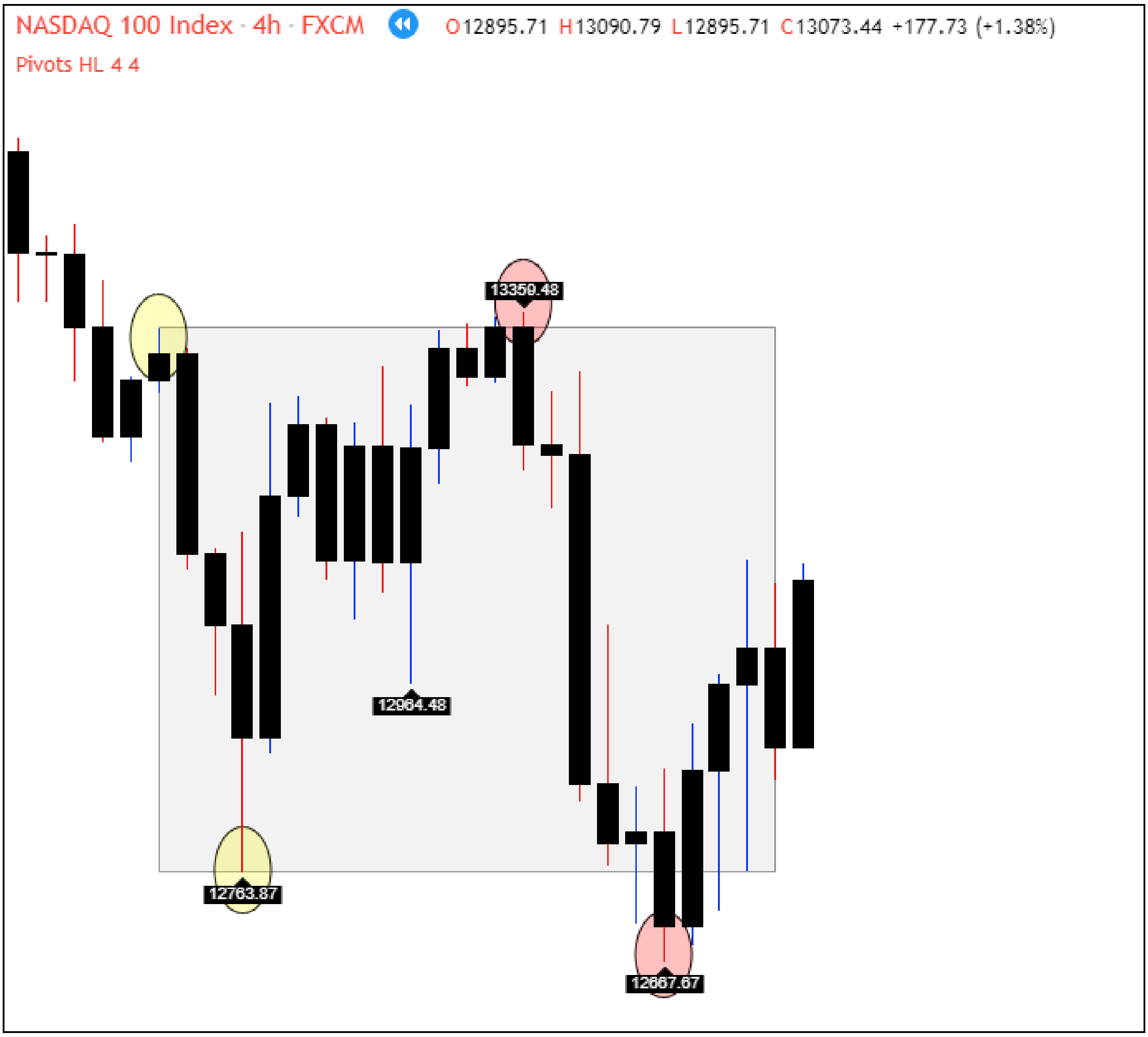
Remember that there is a good chance that the price will close its square because they are watched by market makers.



The market structure here is bearish because the price is forming lower highs and lower lows.

The two yellow circles represent:

- The beginning of the square.
- The end of the square.



The two red circles represent:

- The reaction to the top of the square.
- The reaction on the bottom of the square.

Here the price immediately tested the top of the square and pulled back down to close his square.

Identifying a square is essential to know your maximum drawdown on the NASDAQ and on the markets in general.

Before starting your trading session, immediately draw your square.

The square will allow you to eliminate potential psychological doubts and you will therefore be able to trade with a high probability of success.

That is to say, simply trade in the direction of the trend.

Traders who don't identify the maximum drawdown in their markets are already making a big mistake.

Do not join this crew there...

In theory, a square is filled in 90%, even 95% of the situations. Which is huge.

We will therefore use several tools to close the squares.

The squares act like magnets because they are very psychological. We will therefore make sure to trade in order to close the squares.

This will become clearer for you over time with the Fibonacci retracements that we will use to close the squares on the markets.

Just remember that the markets often forms squares which show us the direction the price will take and that we will therefore seek to close.

B. The M30

Once you have identified your square, we will now identify the market structure on M30.

This is the most important step, because it is the one that will determine whether you will go in the wrong direction or not.

Important tip: Do not identify the market structure on the NASDAQ at midnight to trade the next day.

Analyze the market structure 1 hour before the opening of the US session to be sure not to go in the wrong direction.

I told you before: the NASDAQ is very volatile.

If you identify the market structure on the NASDAQ during the Asian session to trade the US session you are clearly wasting your time...

I therefore advise you to do your technical analysis in pre-market, that is to say 1 hour before the official opening of the American markets.

Remember that we will take advantage of the flow of the open US session to be able to enter a trade quickly and exit as quickly as possible with profits.

Volatility is your ally in the markets, it's like fuel for a car: it's essential to keep moving forward.

Same thing here.

I detail more precisely how to identify the market structure in my first eBook "Japanese Candlesticks Strategies" which I invite you to read.

However, I will show you again how you should read the market structure so as not to go in the wrong direction on the NASDAQ.

An uptrend is made up of:

- Higher highs.
- Higher lows.

A downtrend is made up of:

- Lower highs.
- Lower lows.

Forget about range zones, we are not going to use them for trading.

We will always try to identify the most significant points on the markets.

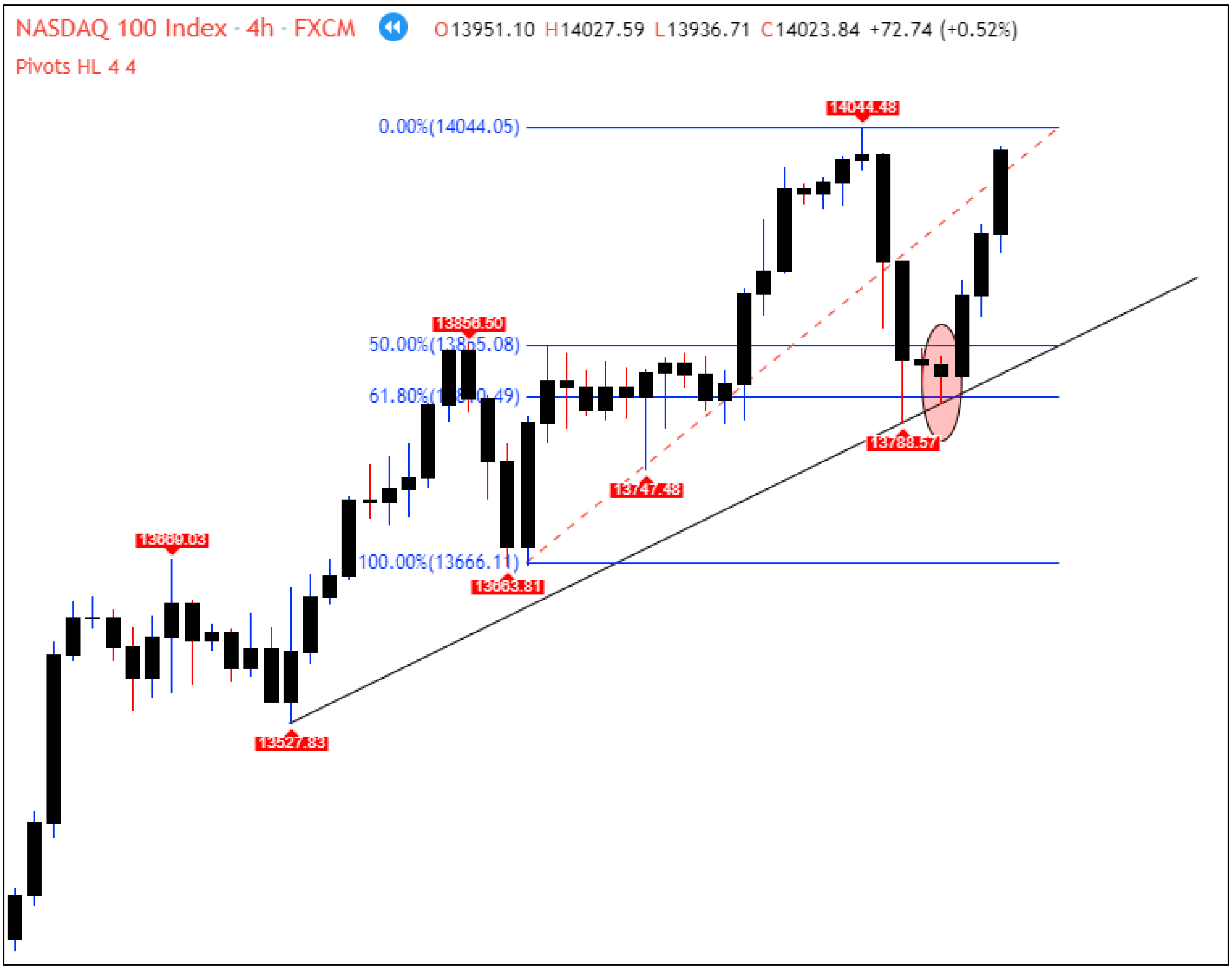
Please do not identify all the micro-movements, you will waste time and money...

If you are having trouble identifying the market structure, I advise you to use the line chart to identify tops and bottoms more easily.

In this way, you will eliminate the unnecessary movements that the price can sometimes form and you will focus on the structure of the market.

The market structure is ahead of the trend lines which are secondary.

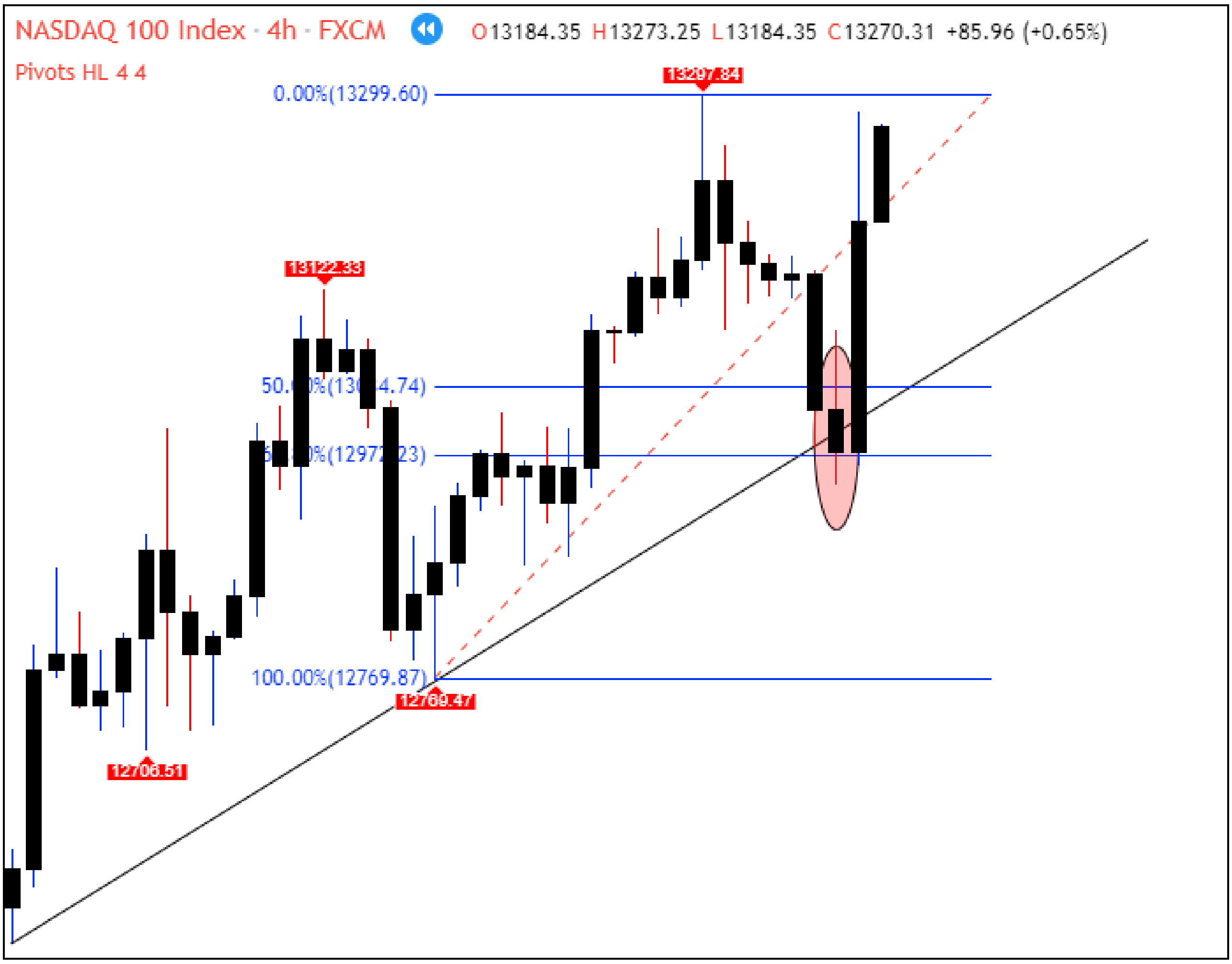
The horizontal areas are much more effective because they are much more psychological.



The market structure here is very classic, made up of:

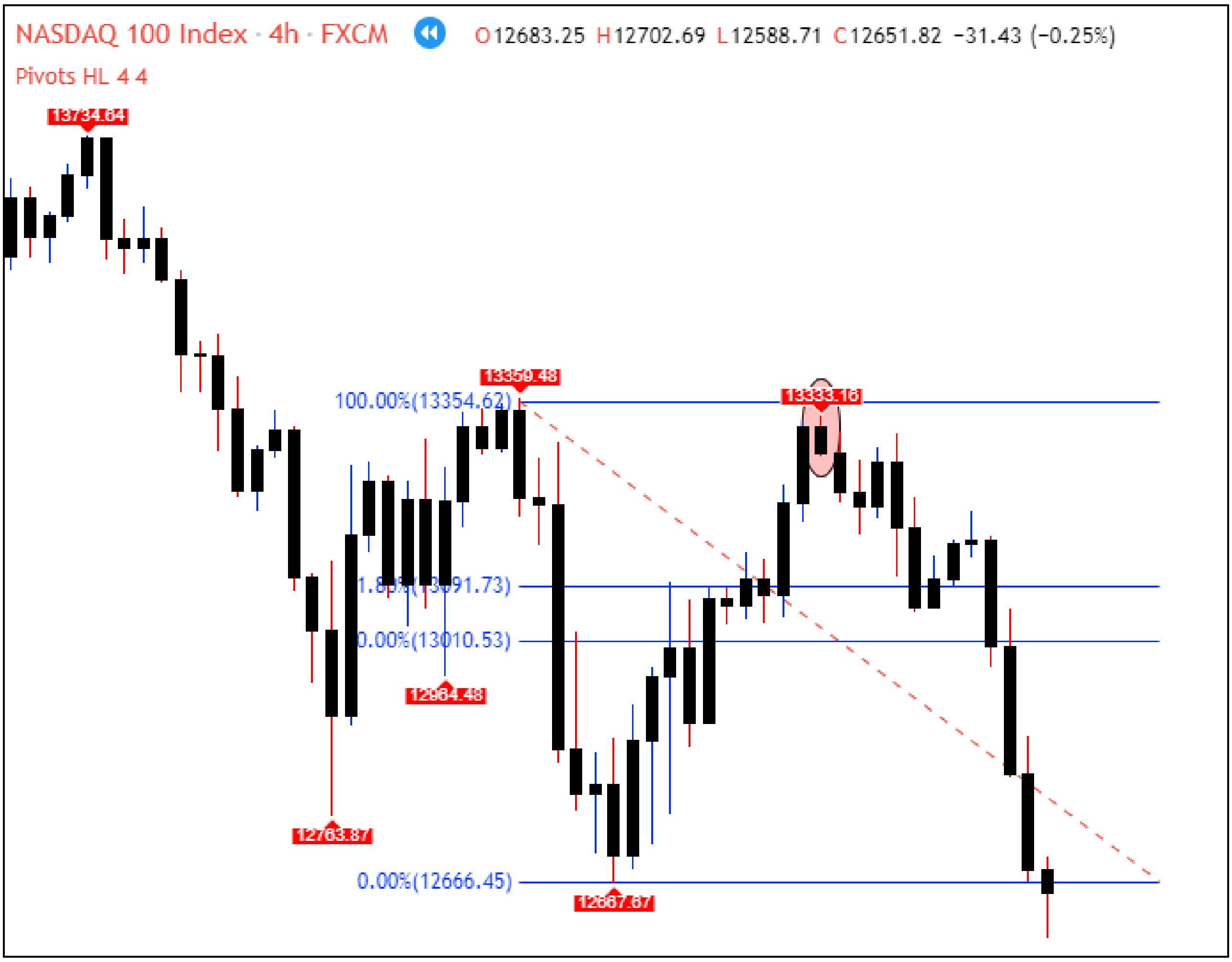
- High points.
- Low points.

Here the price structure is symmetrical and resumes its direction after a rejection candle on 61.80% Fibonacci.



Same example here, we are in a bullish structure with higher highs and higher lows.

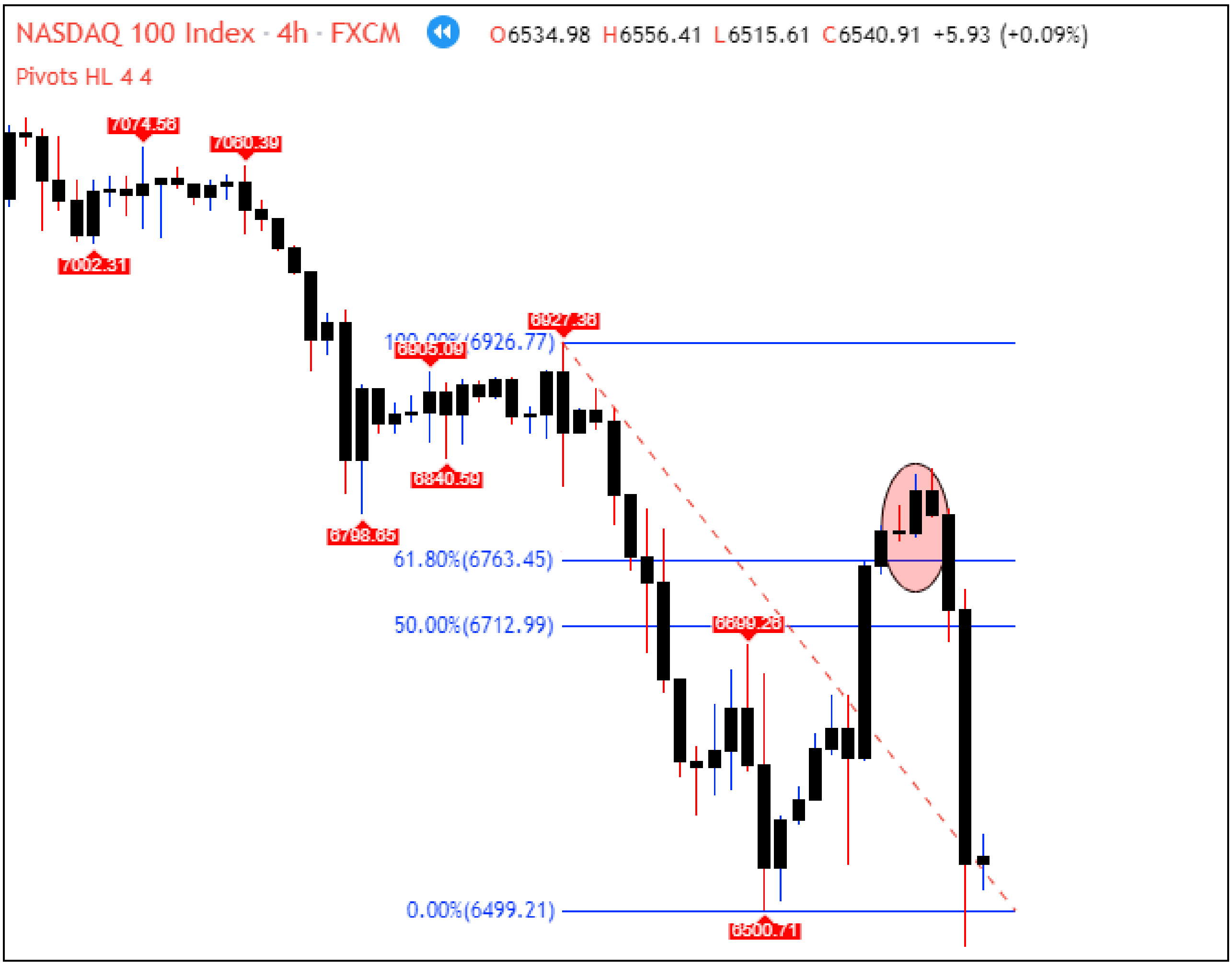
Here the price structure is symmetrical and resumes its direction after a pullback on the 61.80% of Fibonacci.



The market structure here is bearish, made up of:

- Low points.
- High points.

Here the price structure formed an asymmetric double top and performed a pullback after a reaction on the 100% of Fibonacci.



Same example here, the price structure is symmetrical and you should focus on this kind of structure to maximize your probabilities of success.

Price pulls back after reacting at the 61.80% of Fibonacci.

Now I'm going to show you some market structures that you absolutely must ban.

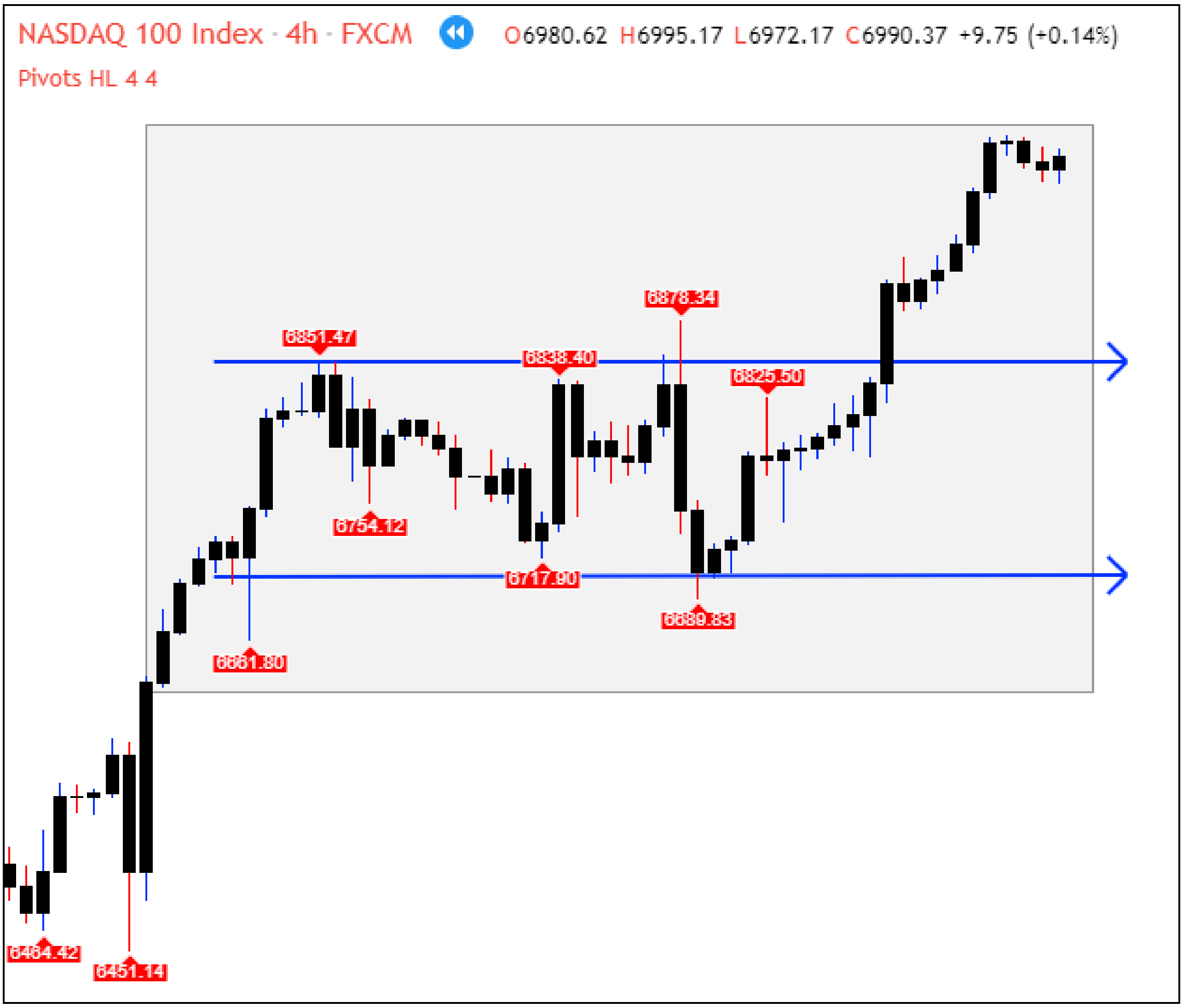
Stop believing that because you are on your screens and because you are motivated that you absolutely must trade.

I'll tell you right away: sometimes there is nothing you can do in trading.

I agree, we get bored sometimes, but that's part of the job.

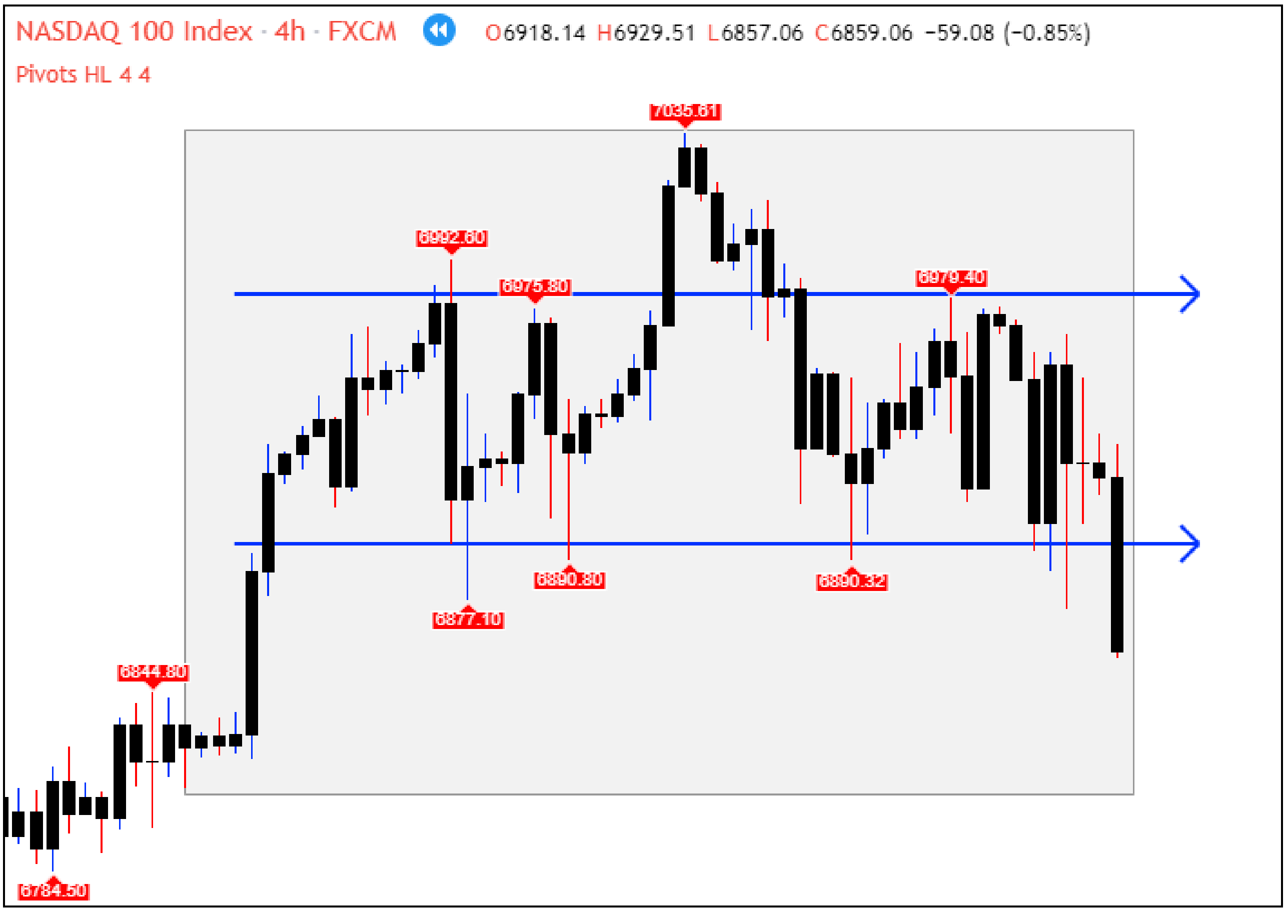
Accept that sometimes you have to wait and then have good opportunities.

You will know that you should not trade when the market structure is not clear, such as the following examples:



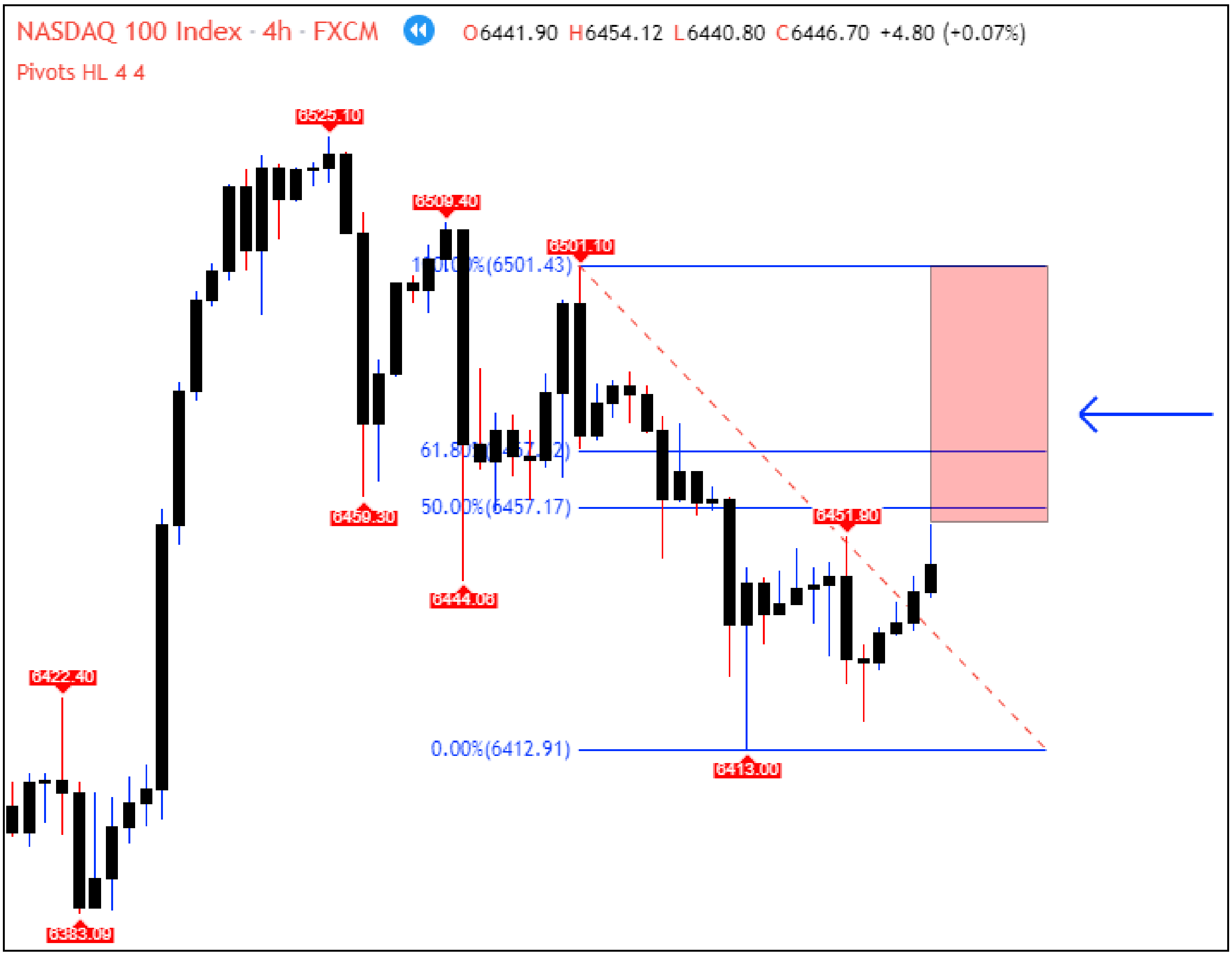
You should ban this kind of structure because:

- The price has consolidated.
- The price has not yet retraced.
- The price has formed an accumulation and will therefore retrace at some point.



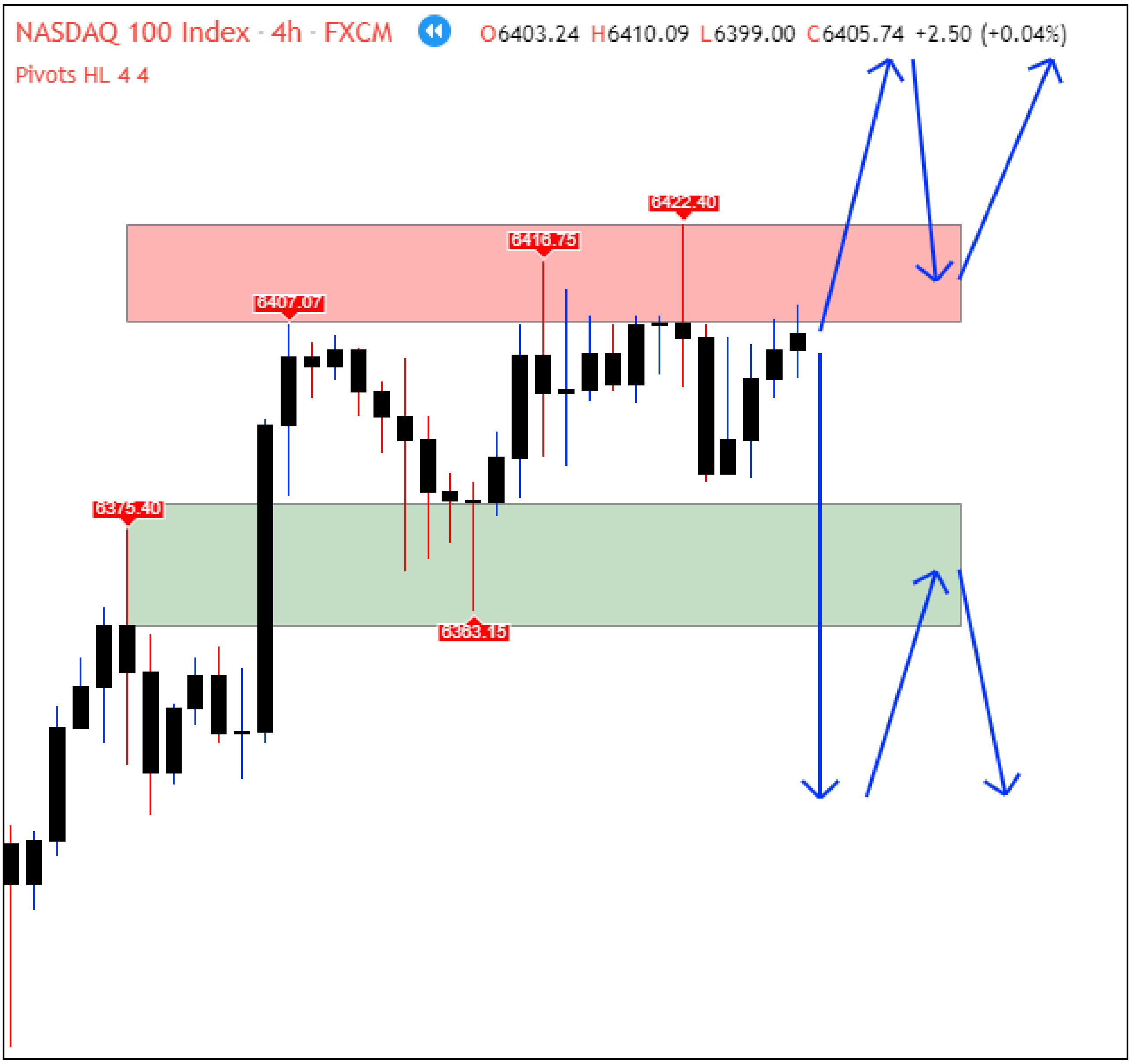
Same thing here, you must ban this kind of structure because:

- The price has consolidated too long.
- The price has not yet retraced.
- The price has formed too many shadows on the candles which shows indecision.



Here you cannot take a long or short trade because:

- The price structure is not symmetrical enough.
- The price has made too many shadows on the candles.
- Price don't made a retrace at the 50% of Fibonacci (at least).



Ban areas of consolidation because:

- Selling on the top / bottom of the range can lead to stop hunting.
- There is no underlying trend.
- The price has not yet retraced.

C. The M5

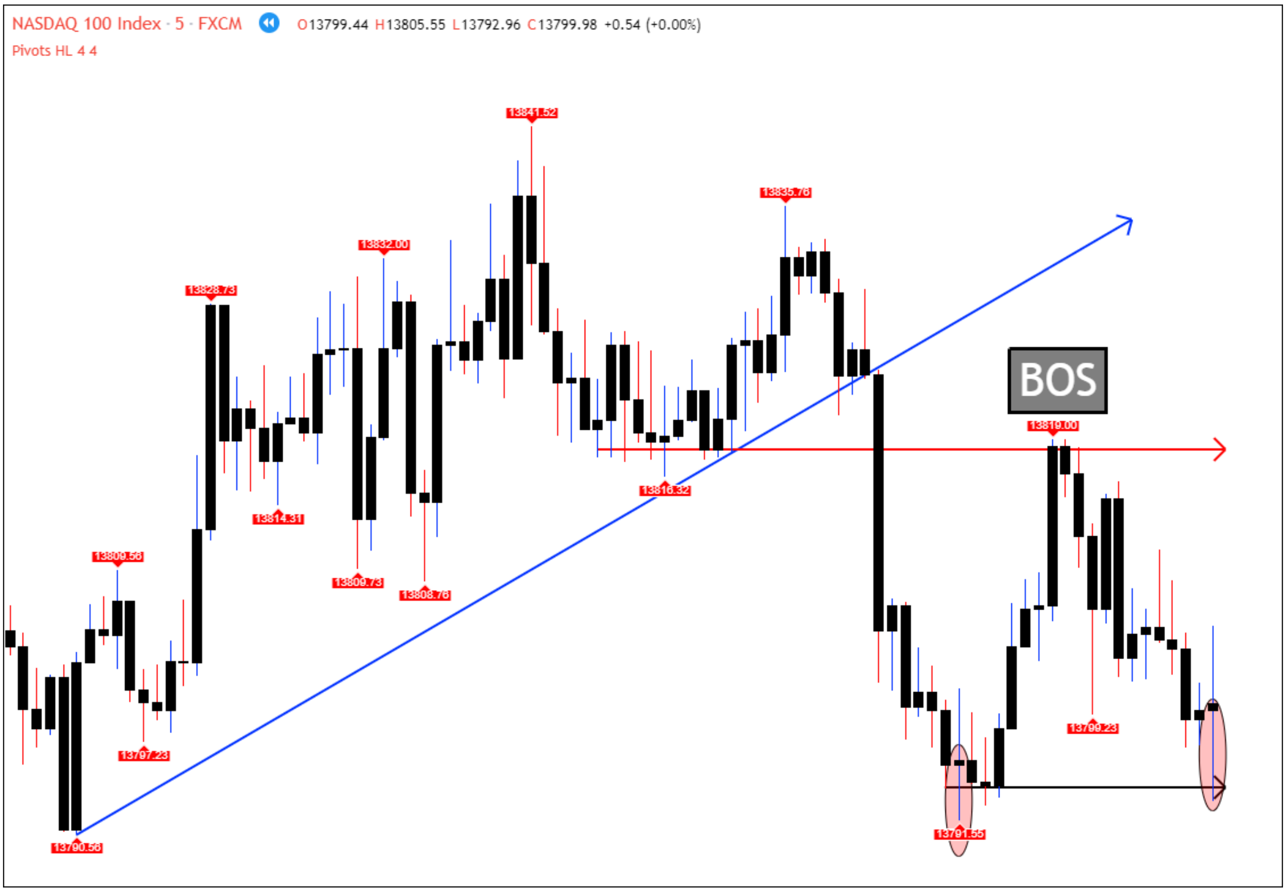
The M5 is the time frame for entering a trade.

That is to say that we are going to enter the M5, after having watched the H4 and the M30.

On the M5, the work is similar, we will monitor the market structure and we will wait for a "BOS".

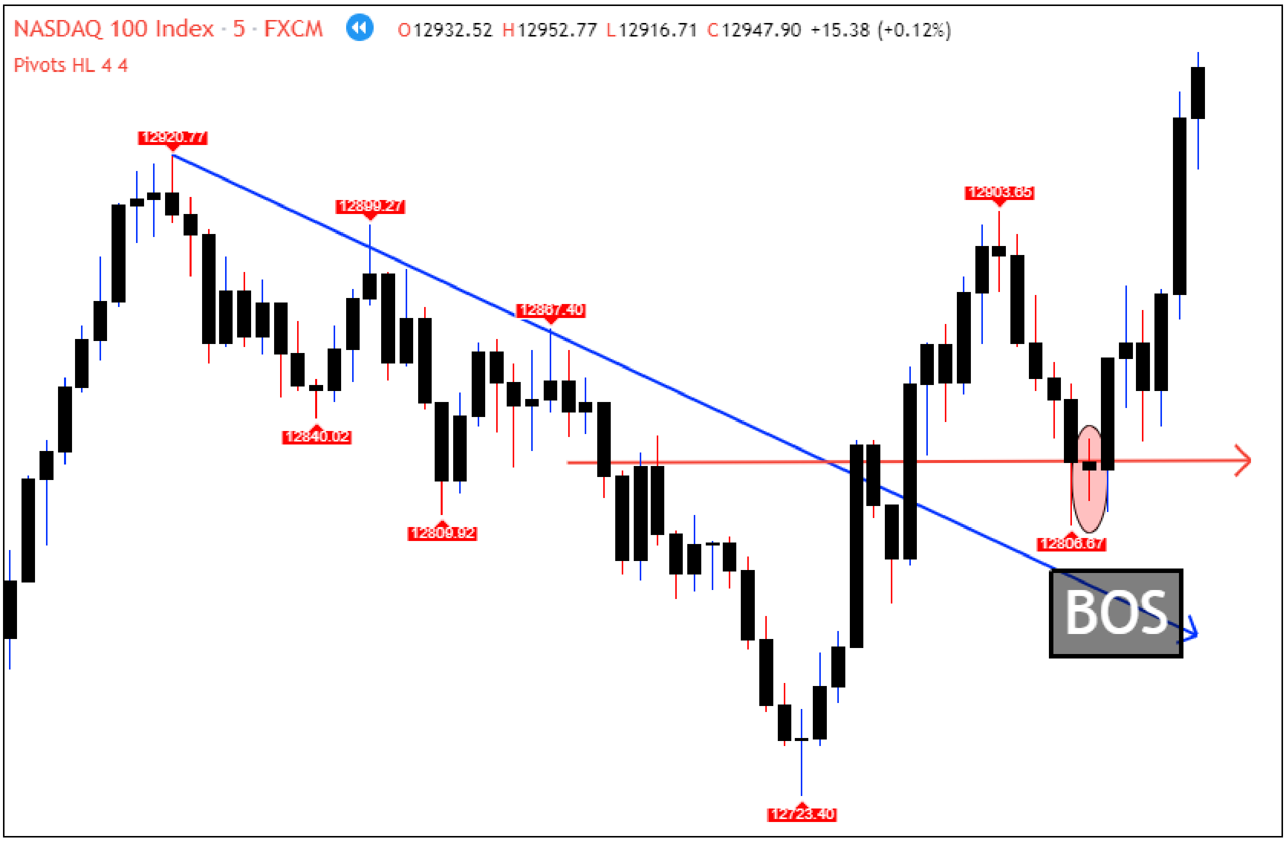
Break of the structure: break of the old structure which leads to a new structure.

Once again, we will wait for this concept still around the US session to take advantage of the high volatility in the right direction.



Here the price formed a BOS of the old bullish structure.

- The price has retraced to +50% of Fibonacci.
- The price has formed an overlap.
- The price respected the theory of Dow (high points, low points).



Here the price formed a BOS of the old bearish structure.

- The price has retraced to the 50% of Fibonacci.
- The price has formed an overlap.
- The price respected the theory of Dow (high points, low points).

PART 3 : THE FUTURE MARKETS TRADING TOOLS I USE

In addition to the market structure, we will be using tools from the Futures markets.

These are not the technical indicators that everyone knows.

These are tools that initiated traders use in the trading room to trade with a high probability of success.

To take advantage of the flow we will use other confirmations to be sure of the direction to take.

We will therefore increase our success rate.

A. The key levels are useless on the NASDAQ

On the NASDAQ, no need to trace supports and resistances.

It is a very volatile asset, so the price is simply not going to meet your levels and will move according to retracements. This is when we will use Fibonacci retracements.

To picture the thing, imagine a rifle bullet that punctures several walls with a single bullet.

It's the same thing here.

The bullet is the NASDAQ and the walls are Fibonacci retracements.

Generally speaking, supports and resistances make sense, but on the NASDAQ, there is no point in wasting your time plotting dozens of zones.

Your charts are going to be overloaded and you will once again be wasting your time.

So you have to ask yourself where are you going to buy / sell?

We will simply take advantage of two concepts:

- The flow of the US session.
- The Fibonacci retracements.

In particular the 50% Fibonacci threshold and more...

The 38.20% Fibonacci threshold is useless in our time because the markets are too volatile and therefore if we want a 100 pips impulse phase, we will have to see at least a 50 pips retracement (so 50% of the past movement).

When using Fibonacci, therefore, you only have to take into account the threshold of 50% and above.

The stronger the retracement, the larger the next impulse phase will be.

There is a balance to be respected and a balance between supply and demand.

Always ask yourself the question: is the retracement large enough?

If so, take the trade.

We will therefore constantly wait for a return on the 50% of Fibonacci and more to resume the movement in the direction of the trend.

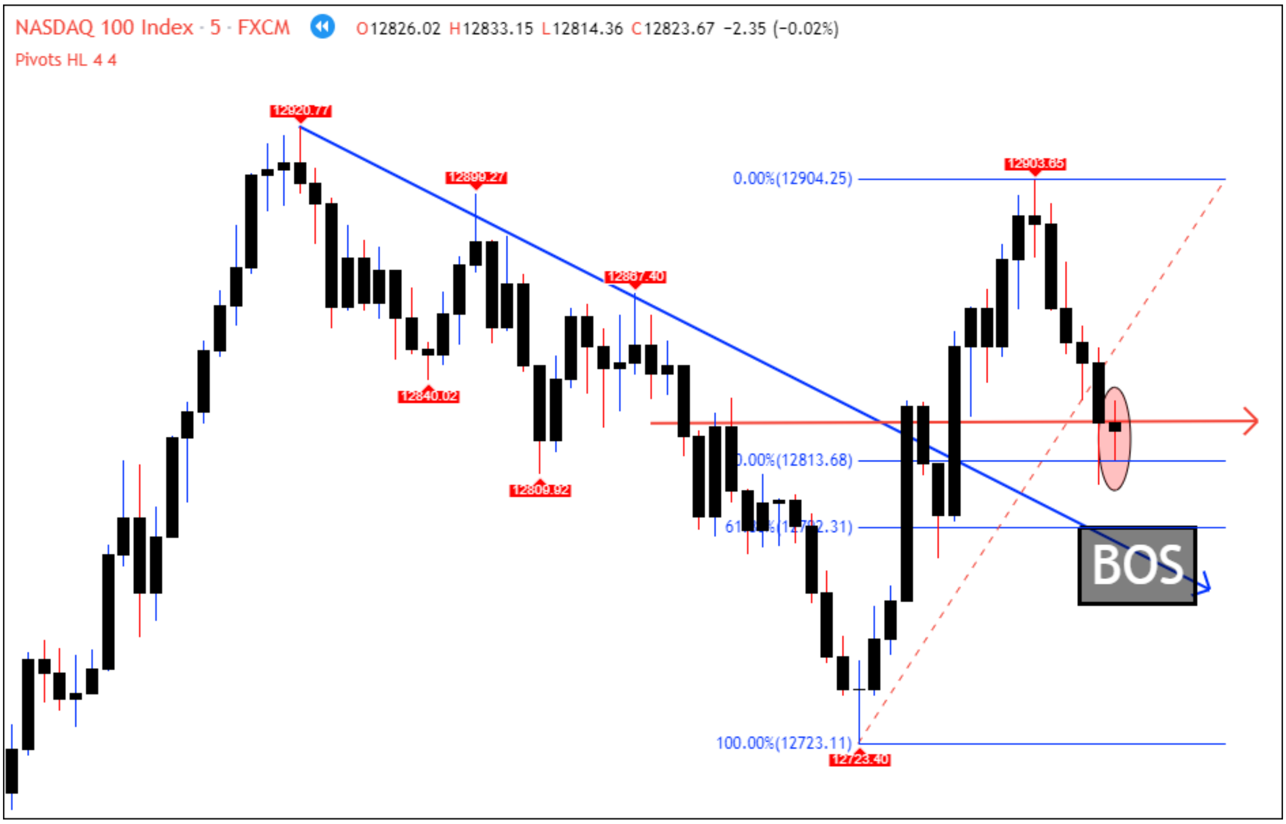
From the 50% of Fibonacci to more we estimate that we are in the golden zone.

That is to say that the probabilities of pullbacks are very high and we have to watch what the price will do to take a trade.

So configure the following thresholds on your Fibonacci:

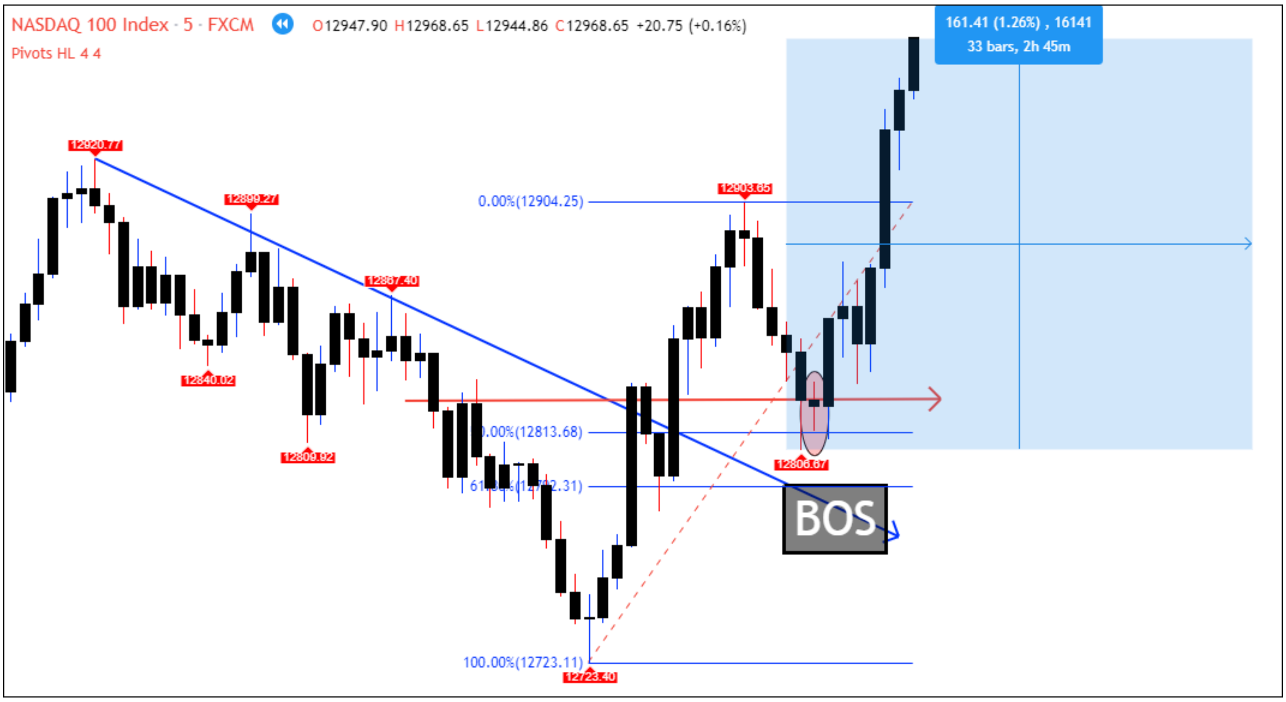
- 0%.
- 50%.
- 61.8%.
- 100%.

These are the only thresholds that we will use.



Following the BOS, the price forms an overlap and reacts to the 50% of Fibonacci (the middles on the markets are very psychological and respected).

The price reacts and forms a rejection candle which shows sellers exhaustion, so this is the end of the retracement.

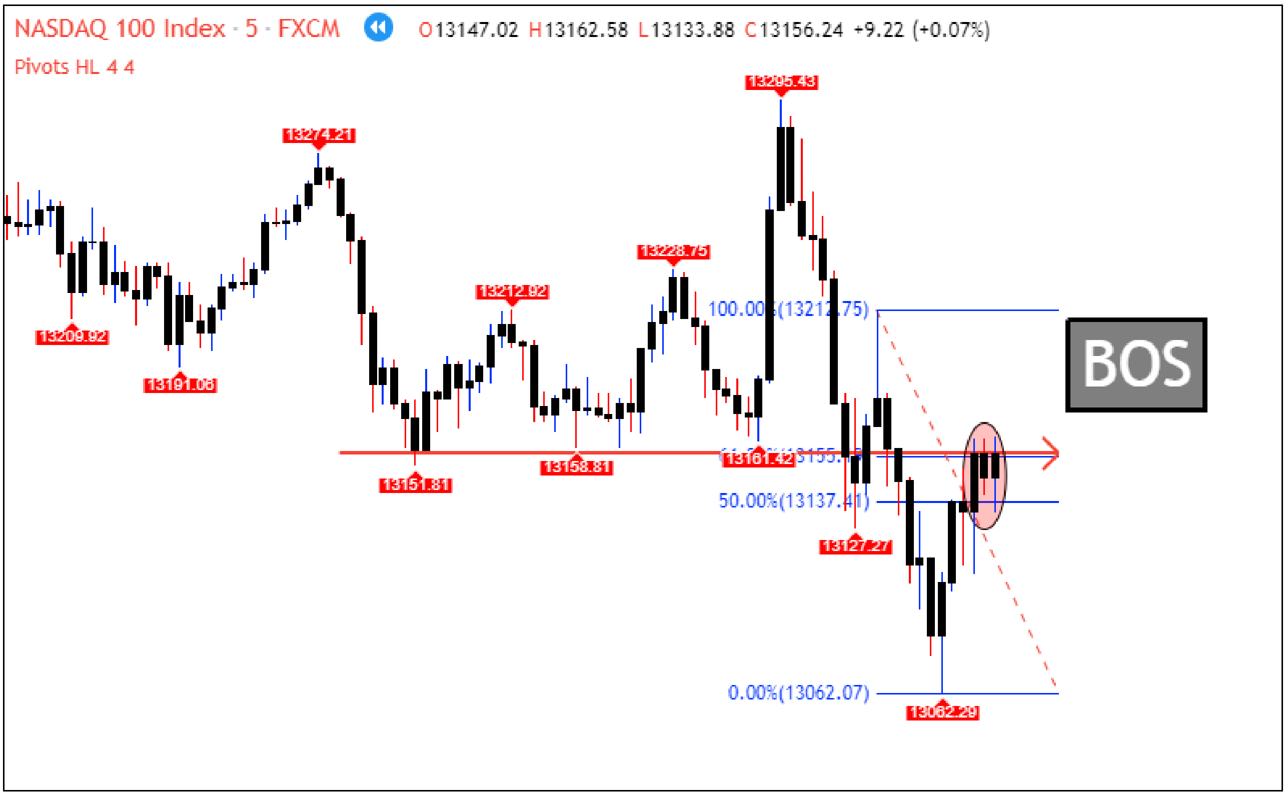


The price then changes his structure and begins an uptrend.

We took advantage of the following levers:

- The momentum of the American session.
- The BOS.
- The overlap.
- The 50% of Fibonacci.

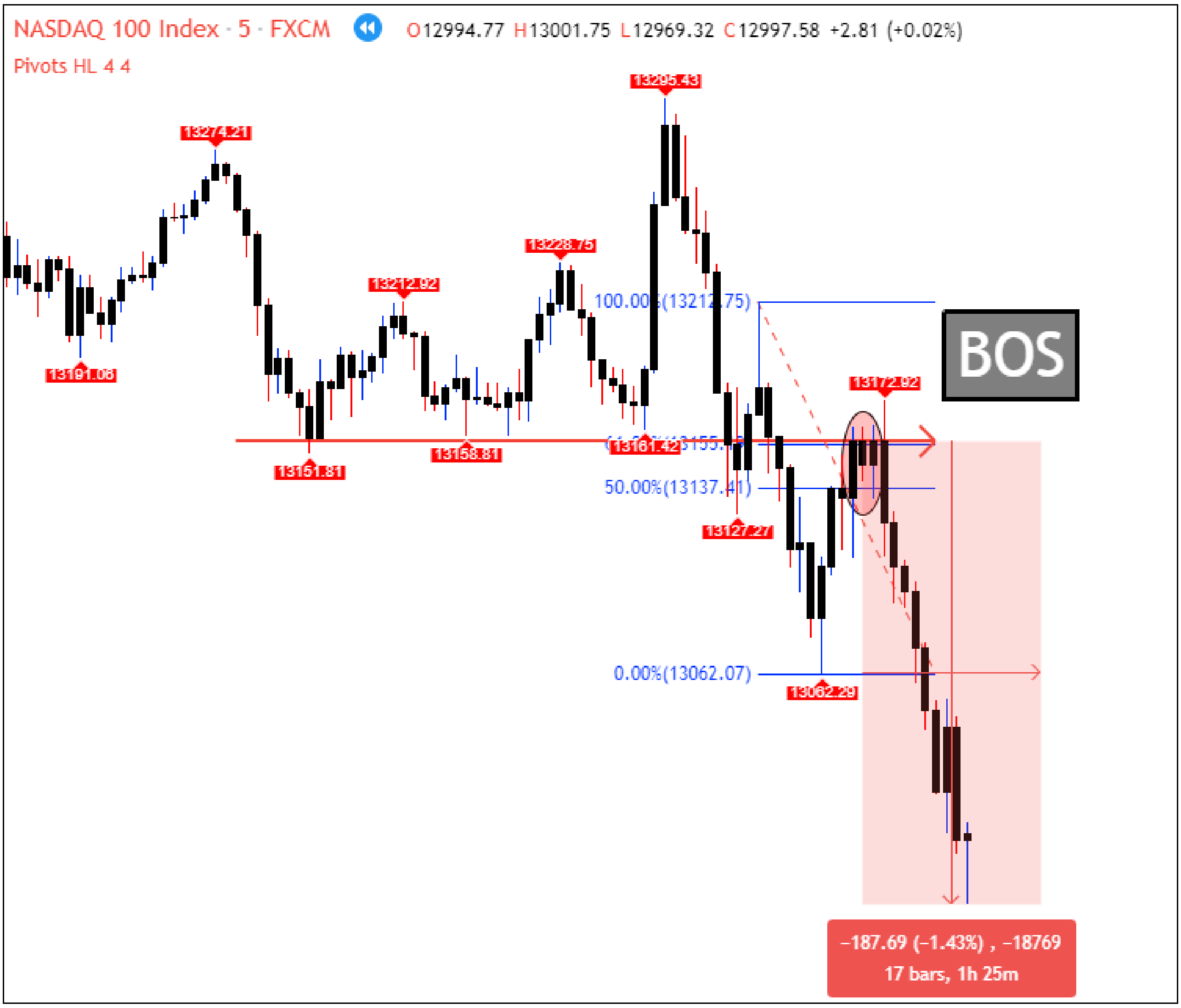
+160 pips up.



Following the BOS, the price forms an overlap and reacts to the 61.80% of Fibonacci.

Price reacts and forms two rejection candles which shows buyer's exhaustion, so it's the end of the retracement.

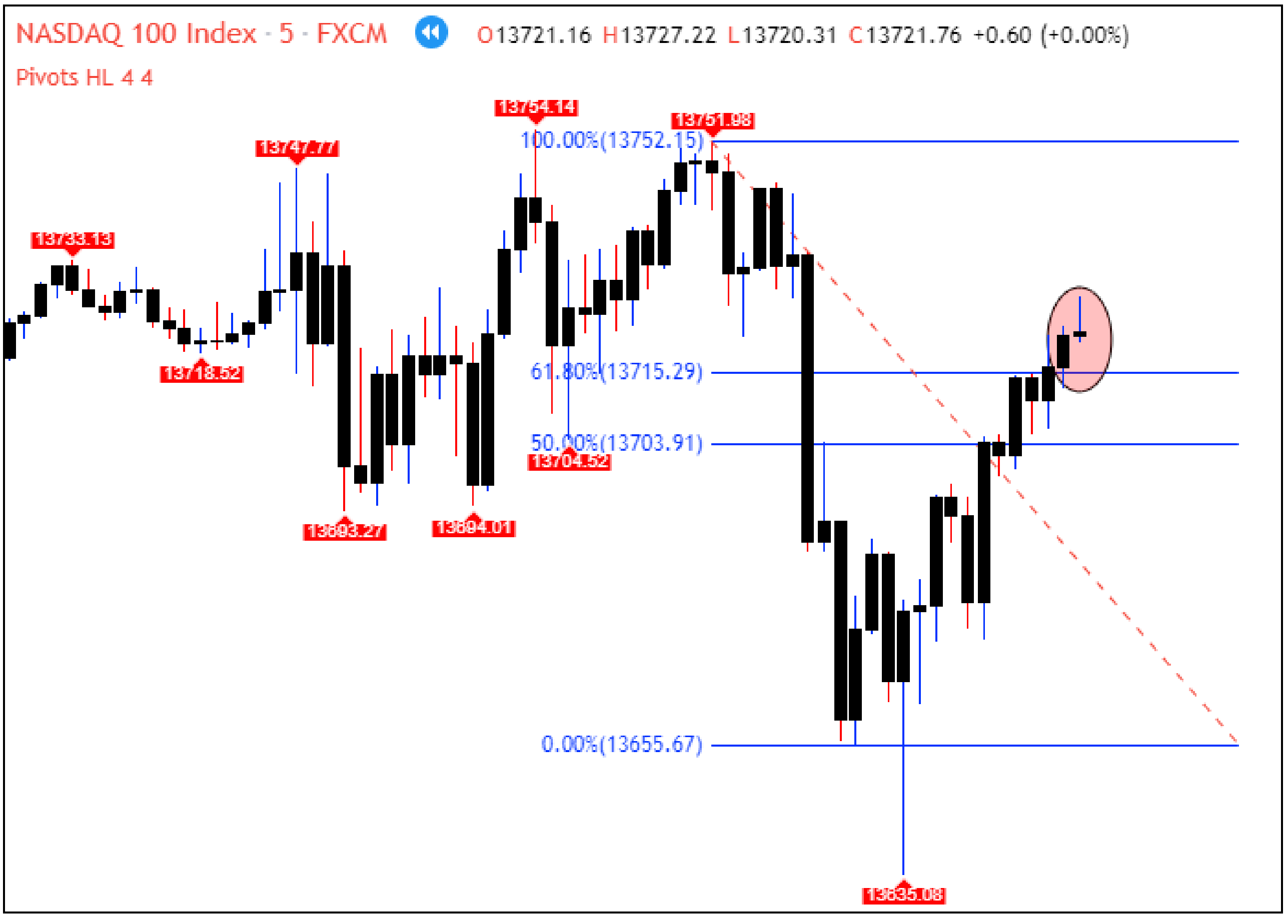
We are waiting for a new movement of impulse.



The price starts a bearish structure thanks to the following confirmations:

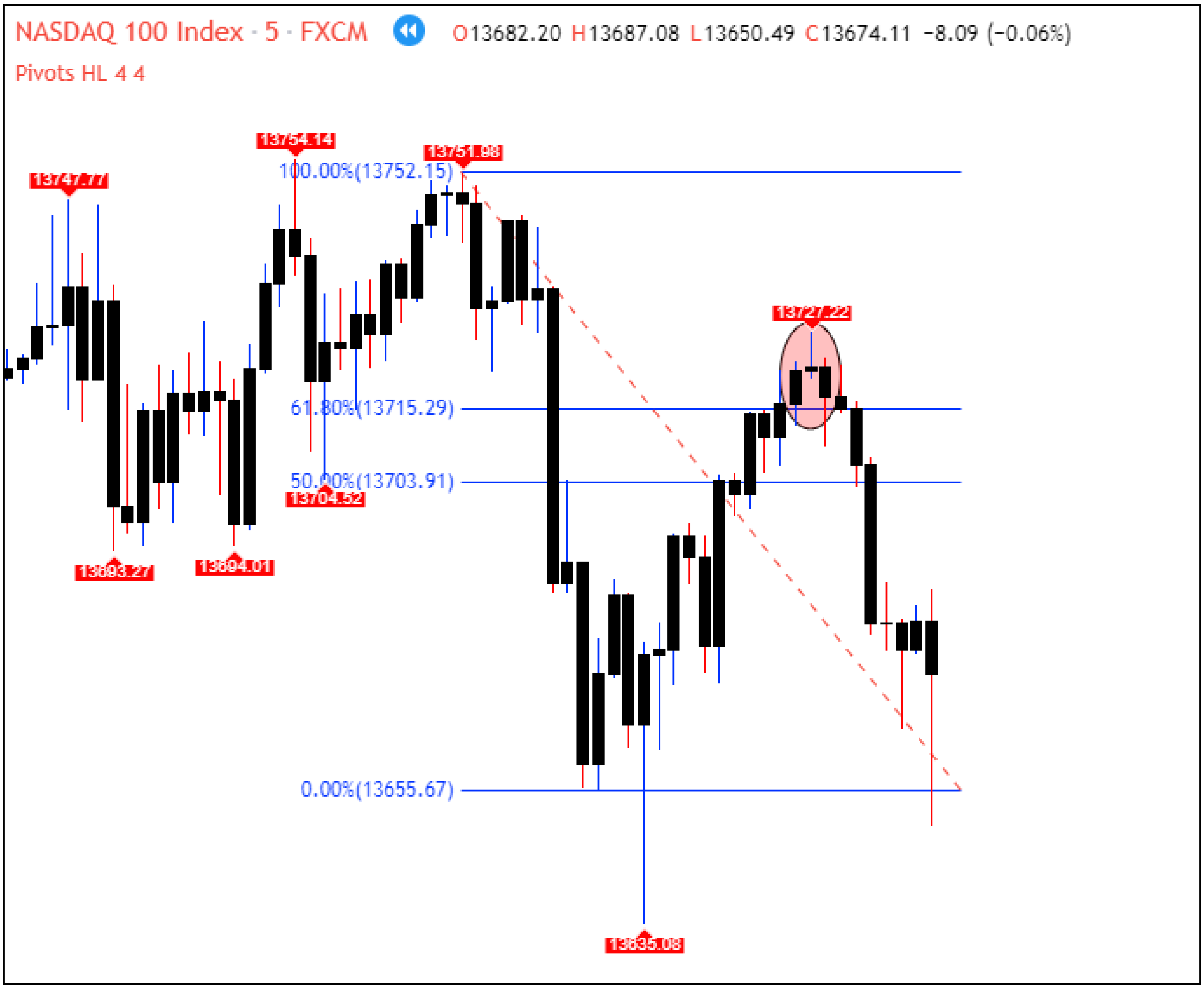
- The momentum of the US session, the BOS, the overlap and the 50% of Fibonacci.

+187 pips down.



The price has just formed a new low point and therefore broke the previous structure which was a zone of consolidation.

Price retraces above 61.80%, forms a rejection candle and we expect a pullback down to see a continuation of the bearish structure.



The price starts a bearish structure thanks to the following confirmations:

- The momentum of the US session, the BOS, the overlap and the 61.80% of Fibonacci.

You will notice that each time there is a very little drawdown on the moves.

B. The overlaps

We will also use overlaps in our trading.

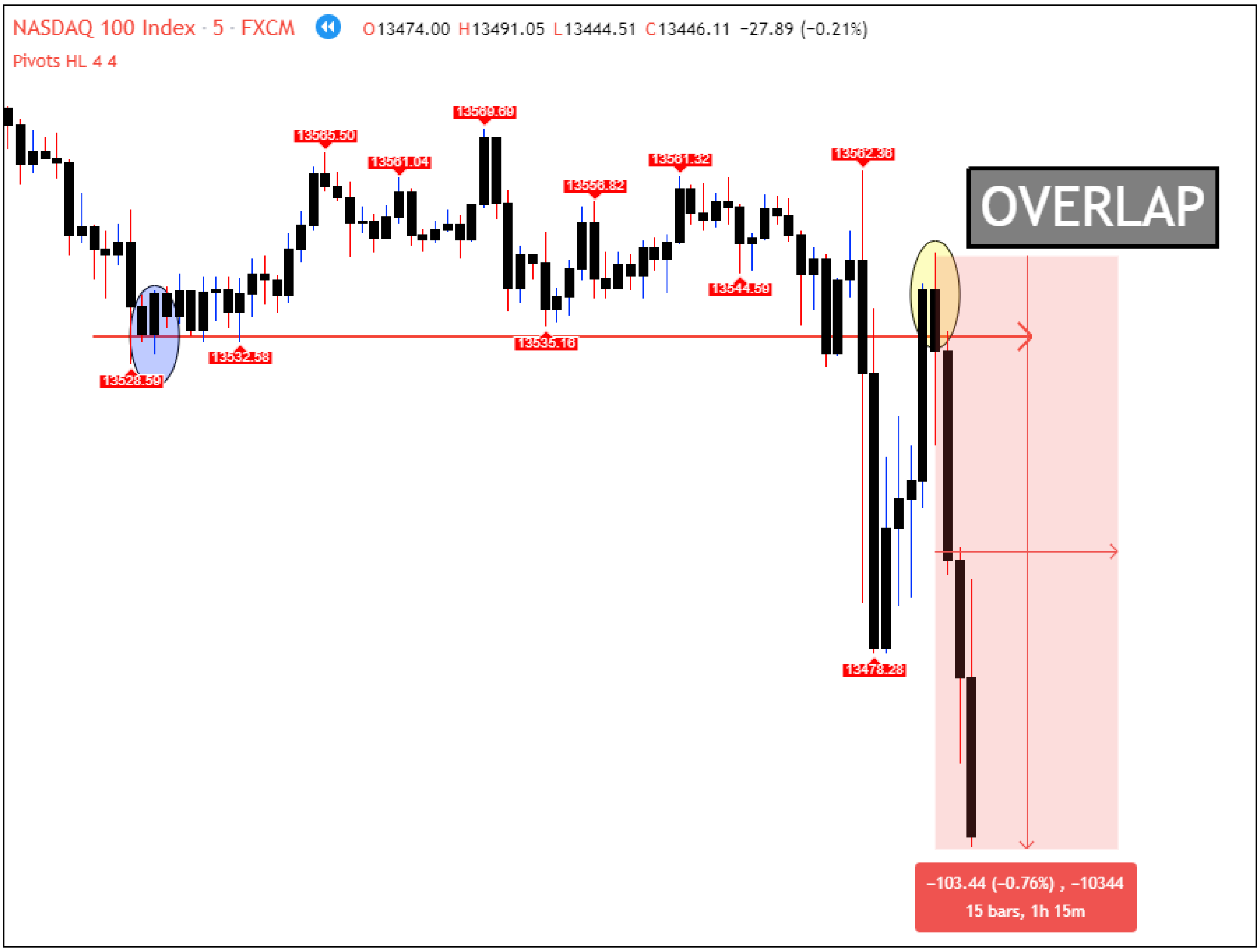
Overlaps are simply breakouts and retests.

It's a simple concept, but it works very well.

You know the quote one does not teach an old monkey how to make a face. Same thing here.

No need to create the wheel again, it works, so we take advantage of it.

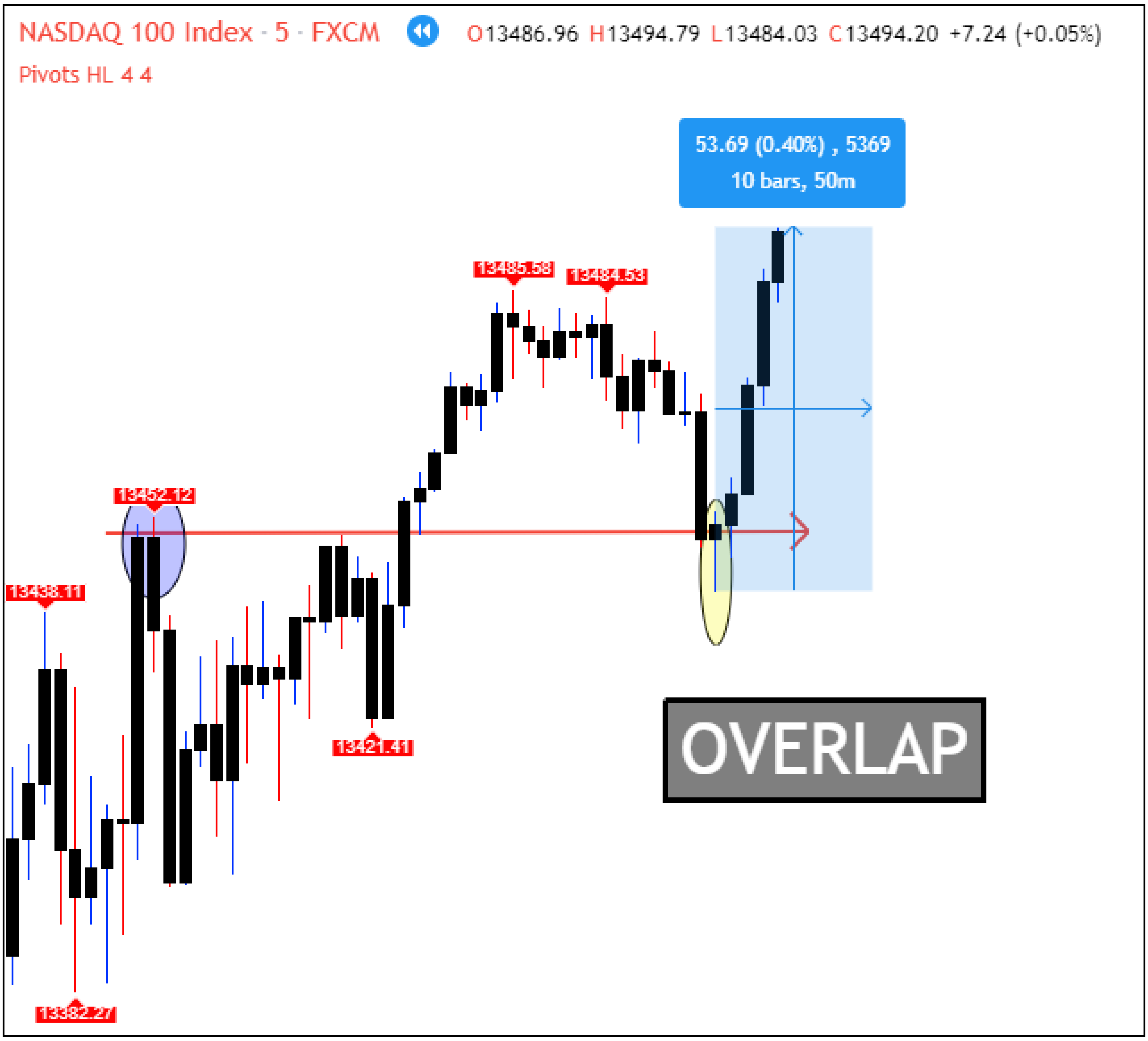
The idea is to work like a staircase, we will locate an old critical point and we will take the opportunity to anticipate a turnaround.



The price here formed:

- A BOS, therefore a new bearish structure.
- An overlap.

You will notice that the price is attracted by the old low point which becomes a new high point: it is the overlap.



The price here formed:

- A continuation of the bullish structure and an overlap.

Same thing here, the price comes for the old low point to form a new high point.

Whatever happens, stick to the Dow Theory.

That is to say the cycles that will form the price during its evolution:

- Higher highs and higher lows for an uptrend.
- Lower highs and lower lows for a downtrend.
- High points and low points at the same level for a range.

When the price forms an overlap, this is called a principle of polarity.

The price reacts very well to overlaps because it is very psychological.

We use an old point to form a new one.

Most of the time you will see the price overlaps at the 50% Fibonacci level and above.

Which is no coincidence once again.

I'm not the creator of the overlaps, you can do your research on your own, it's a concept that has been working very well for years

The price has a memory that is limited so we will always use recent points to anticipate further rebounds.

C. Price accumulation phases

I am very fond of accumulations on the currency market and it is a formidable tool if you know how to spot them.

What is an accumulation?

It's just when the price just goes up/ down without retracing.

The stronger the accumulation, the stronger the retracement and the next pulse phase as well.

I spoke to you earlier about a balance to be respected.

So when there is no retracement, be aware that it will eventually happen

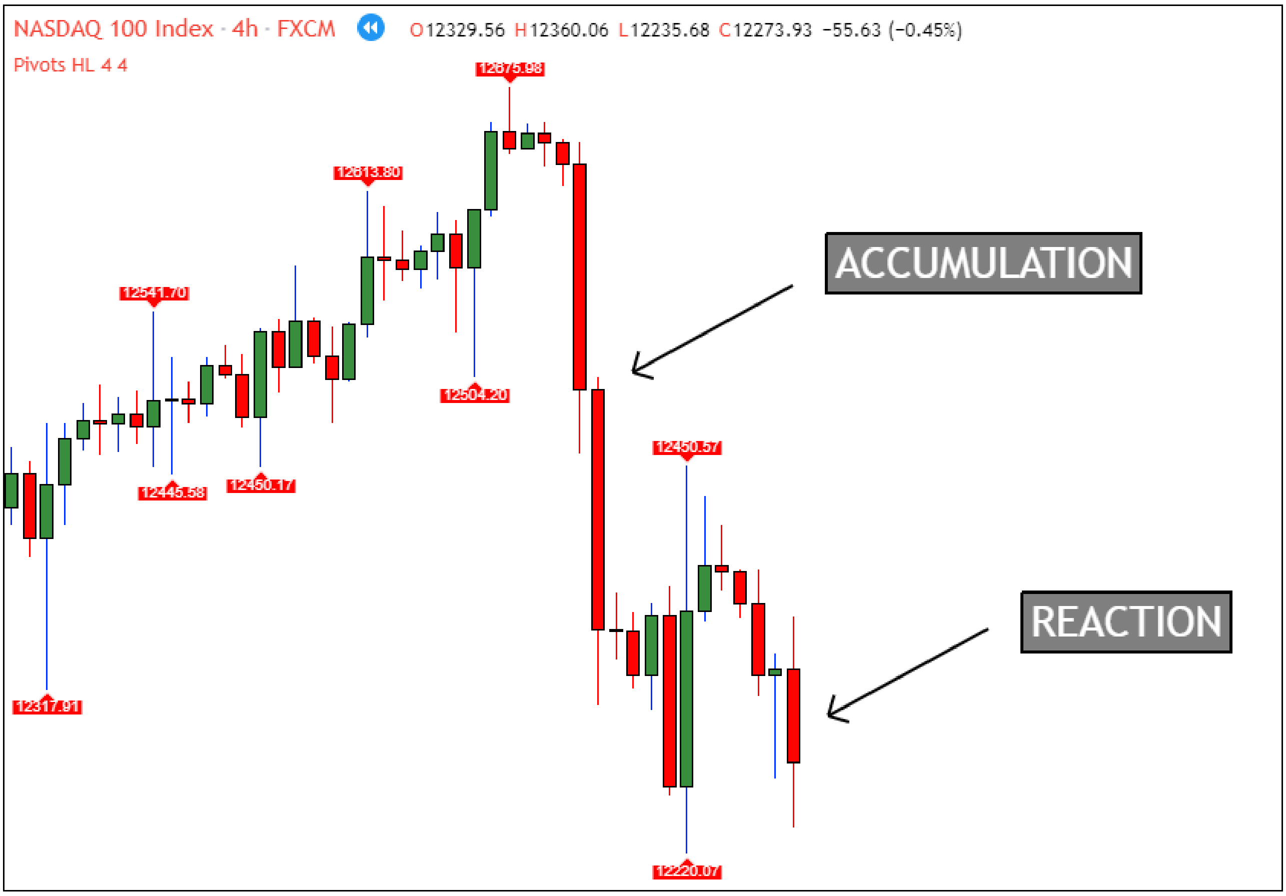
.

Price is always retracing at some point, so if there is no retracement yet, it is going to happen eventually.

So when we have an accumulation phase, we will prepare for a big retracement and then aim for the highs and lows.

Sometimes I only trade on price accumulation because this method is so powerful.

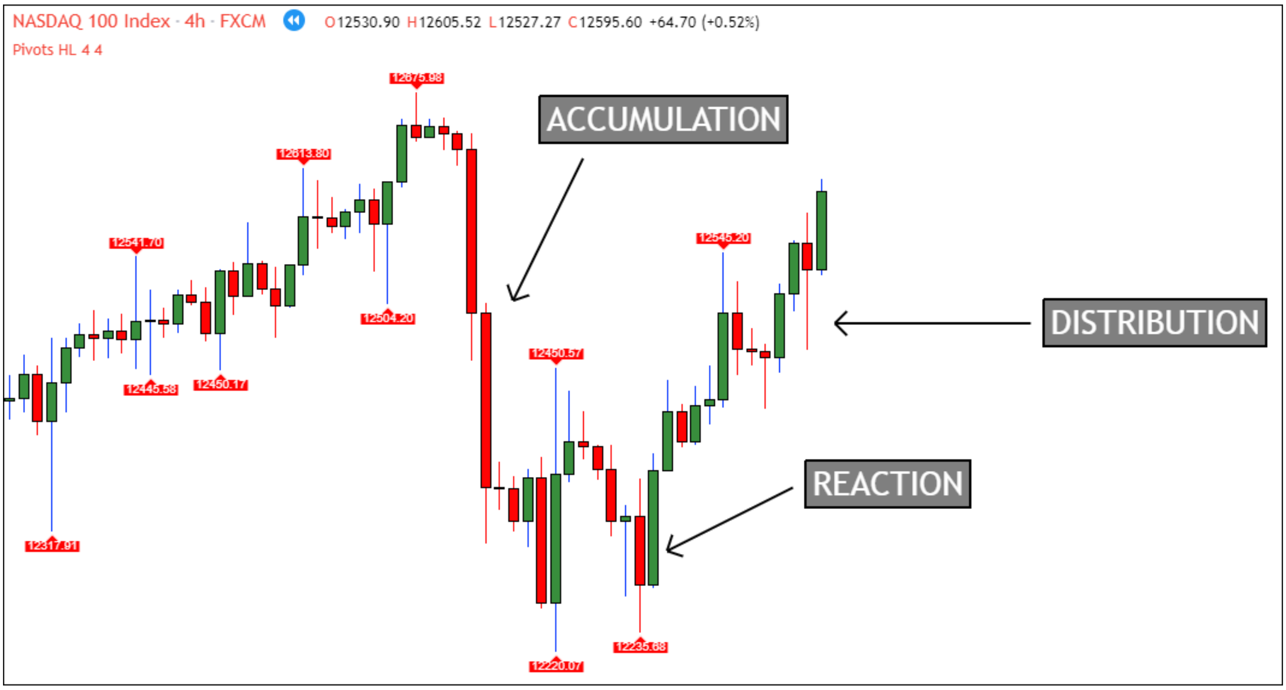
Here are a few examples that show you what price racks look like and how to trade them:



We are here on the NASDAQ on the H4.

The price has come broken all the old low points.

- The price forms a bearish accumulation.
- We then have a reaction, we call it a knot because the price gets tangled and it is a sign of reversal.



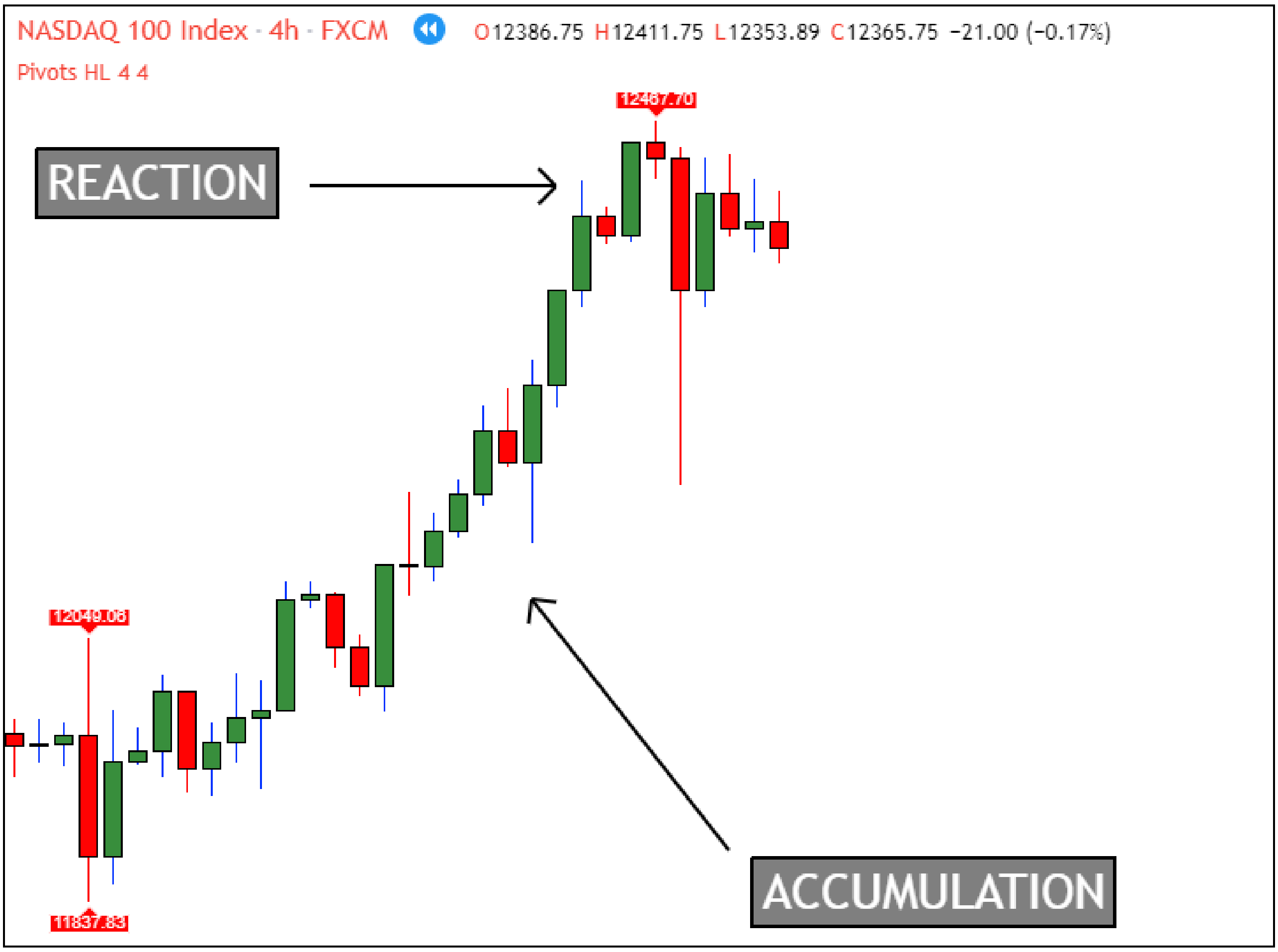
Immediately after the reaction to the accumulation there is now a distribution.

It is the balance between supply and demand.

This is also called price overruns.

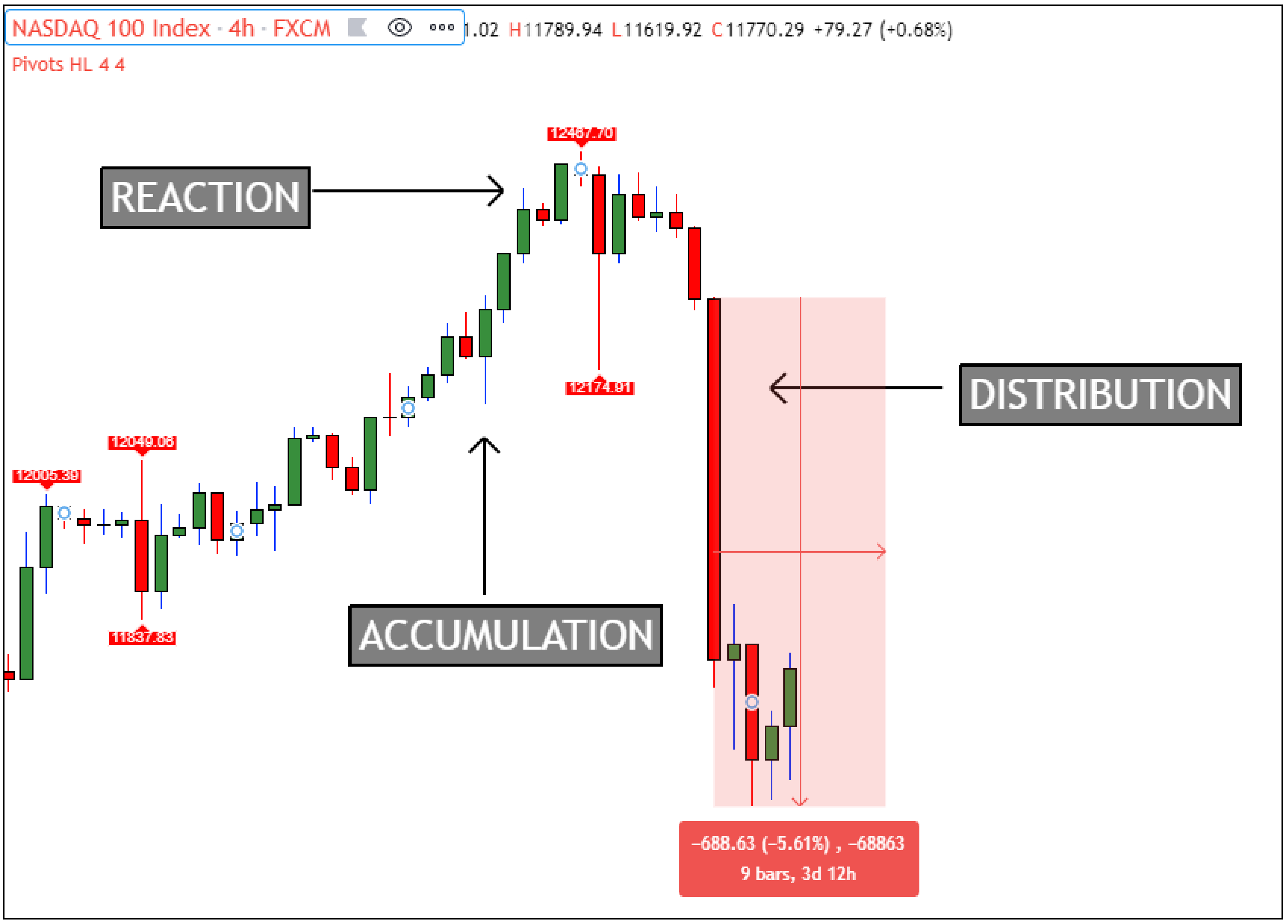
Roughly, the price will push too much and therefore will have to retrace at some point.

Imagine a ball that you throw very hard, it will also logically come back very hard.



Here the structure is bullish.

- The price forms a bullish accumulation.
- We then have a price reaction with a red candle made up of a large shadow which shows us that the price is running out of steam.



Immediately after the reaction to the accumulation there is now a distribution.

Here the distribution even cancels out the bullish structure and breaks the old highs.

It's a 700 pips move, so imagine if you were in that trade...

D. The exhaustions (rejections)

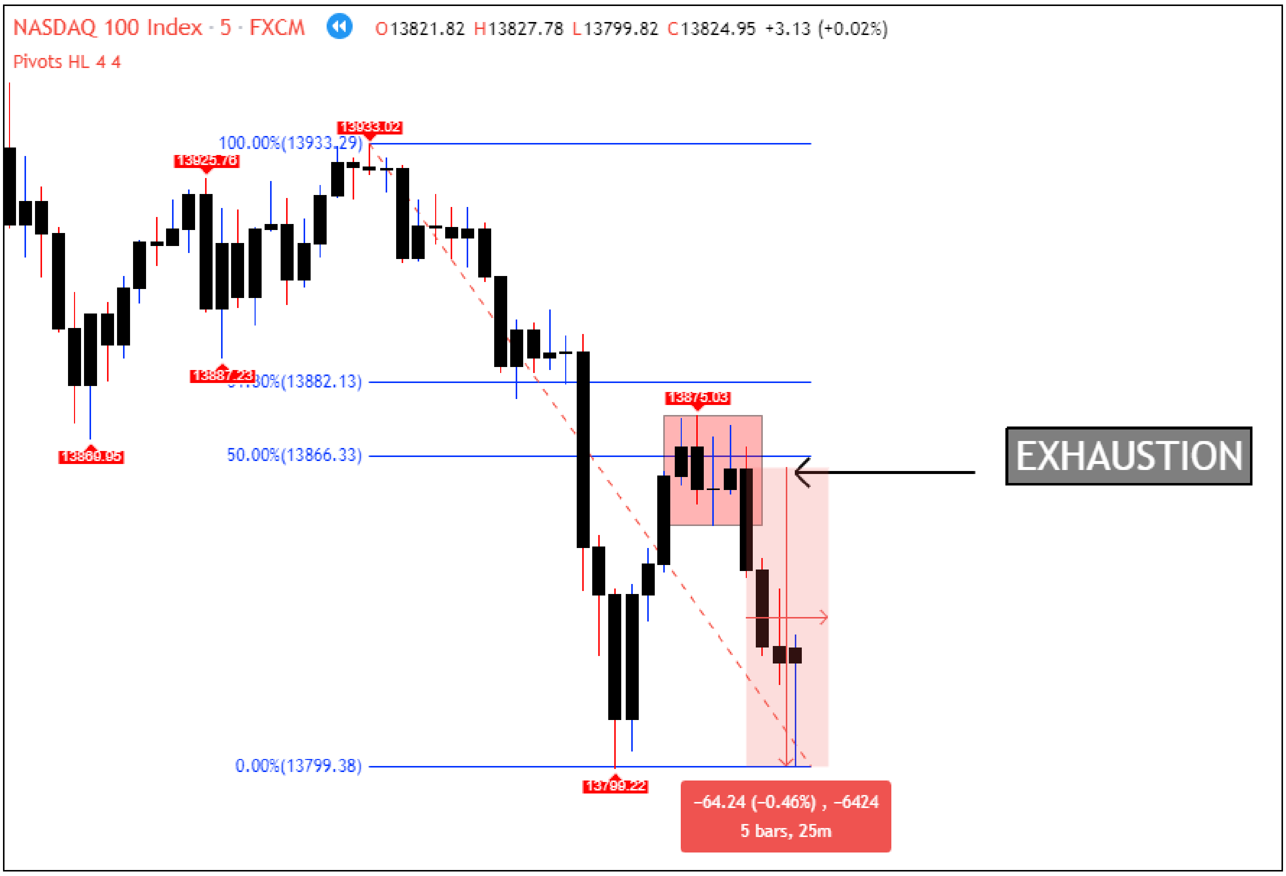
Exhaustions on the price are simply rejections on the part of the price.

That is to say the size of the shadows in relation to the bodies of the candles.

If a candle has a small body and one/ two large shadows, we will talk about exhaustion.

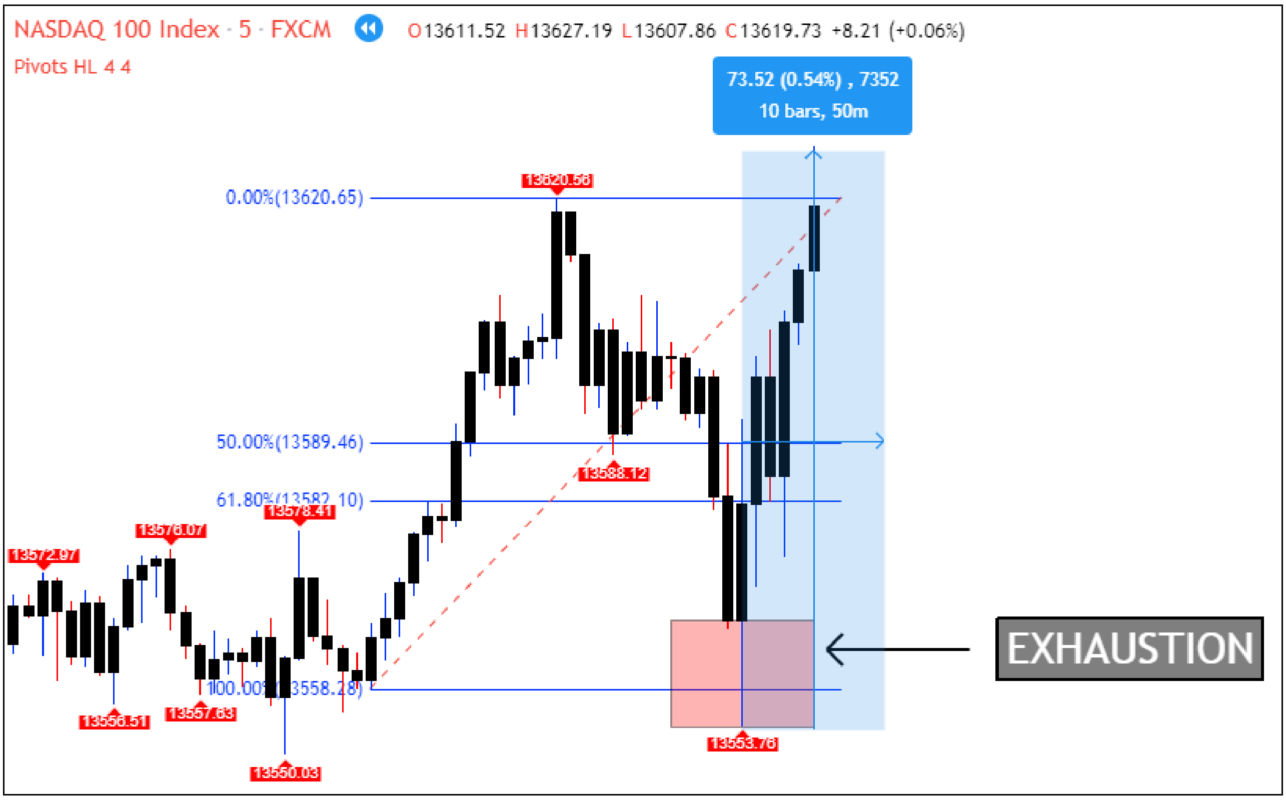
When we have an exhaustion on a key Fibonacci level the probability of pullback is high.

Candlesticks have a language as I explain in my eBook "Japanese Candlesticks Strategies".



The price formed here:

- A bearish structure.
- A 50% Fibonacci retracement.
- An exhaustion of several candles on the threshold of 50% Fibonacci.
- An impulse phase.



The price formed here:

- A bullish structure.
- A 100% Fibonacci retracement.
- An exhaustion on the threshold of the 100% of Fibonacci.
- A new impulse phase.

E. The VWAP tool

The VWAP diminutive tool of Volume-Weighted Average Price is a formidable price indicator mainly used in Futures markets.

The VWAP is a formidable indicator for all intraday approaches.

This indicator is reliable because it is calculated based on the session price volumes.

The VWAP acts like a magnet, so we will always wait for a “VWAP return” to buy or sell, otherwise the risk will be too important.

This tool is used in trading rooms and traders have an obligation to monitor it, otherwise they are let go.

Using the VWAP is fairly straightforward.

We will always wait for the price to touch its average price (the VWAP) to take a trade.

Ultimately it is as if you are waiting for a retracement but on the VWAP.

When the price returns to touch its average price, it starts again in the direction that you have defined according to the structure.

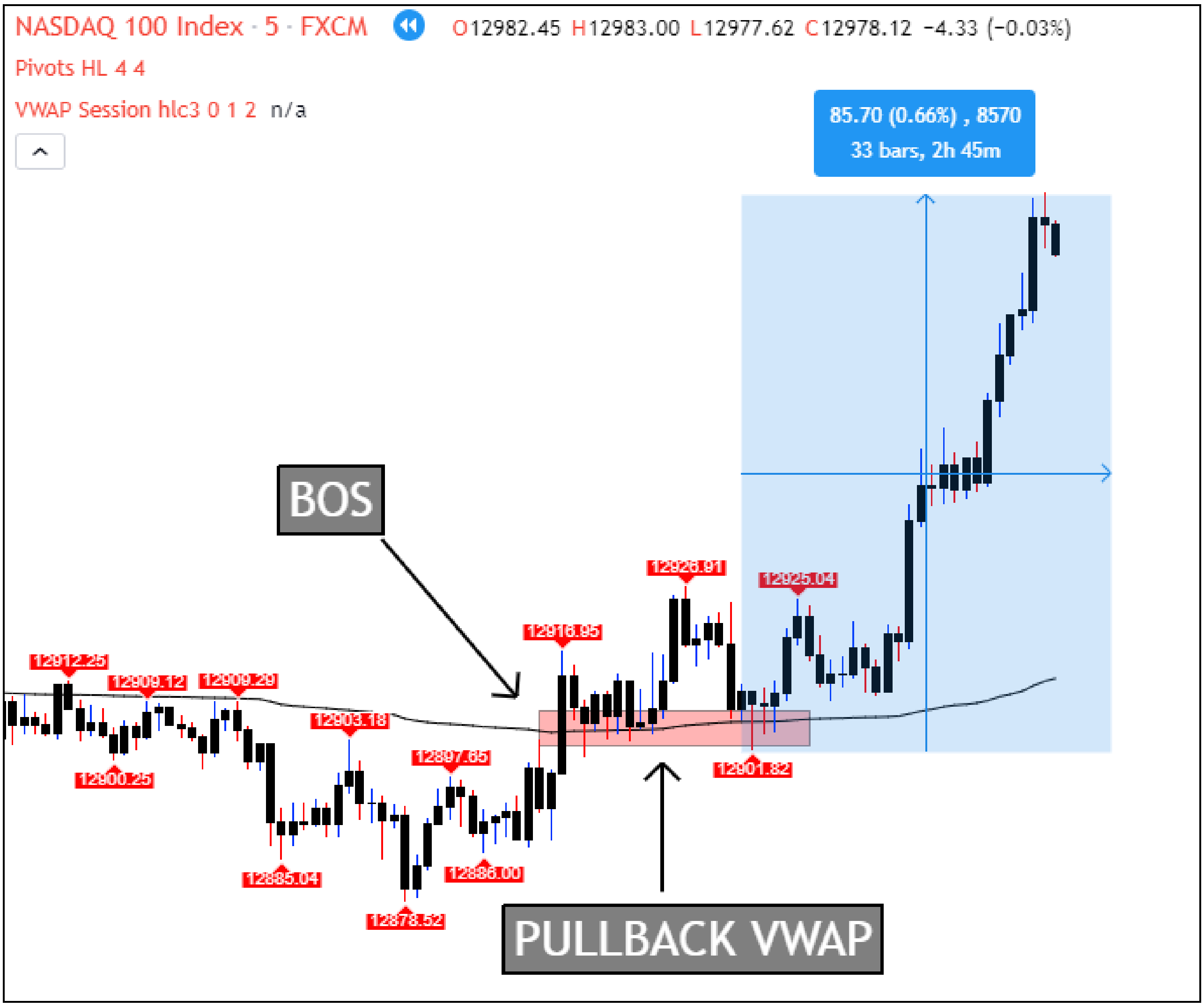
I don't like to do this comparison, but the VWAP acts as a kind of moving average, but it is here reliable because it is based on concrete things like session volumes and not a period smoothed over previous days.

Here the momentum of the structure is bullish.

The price formed a total of two VWAP returns around the US session.

I call this "the trend of the day", the NASDAQ can change its trend in a few days, hours, minutes, even seconds...

So always watch your average price (the VWAP).



Similar example here, because we have:

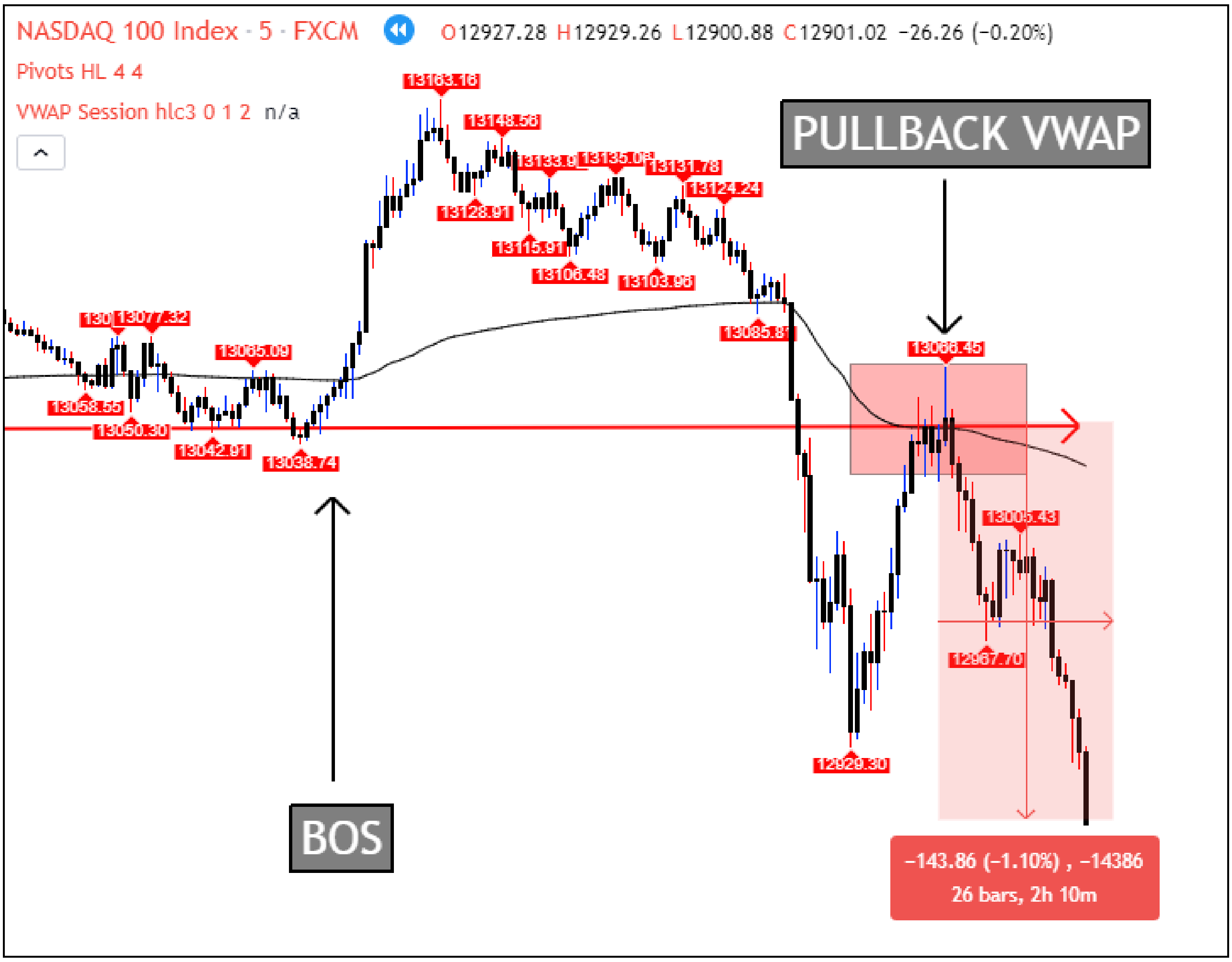
- A bullish structure.
- A BOS.
- Two VWAP returns.
- A new impulse phase.

That's +85 pips up in a matter of minutes.

Here we have a bearish structure here with:

- A BOS and a VWAP pullback.

That's +180 pips down in a matter of minutes.



Exactly the same confirmations here, it's a move of +143 pips down with little drawdown in a matter of minutes.

Ultimately, you have understood it when you line up all the confirmations you have very high quality signals.

The VWAP combined with a BOS offers quality signals and as you have noticed the price perfectly respects its average price (the VWAP).

When the price hits the VWAP, the market structure goes directly in the desired direction (if there is an additional BOS).

When you have BOS + VWAP pullback, the probabilities of success are high.

This tool is essential for this type of approach which is not a form of scalping, but rather an intraday approach.

F. The volume profile

Last tool that we will use: the volume profile.

The volume profile is a complete price indicator which deserves several pages of explanation, but I will try to summarize its use and its interest as well as possible.

The volume profile is composed of:

- Value Area High (VAH): The highest of the price.
- Value Area Low (VAL): The lowest of the price.
- Point of Control (POC): The time when the price was most traded in a given period.

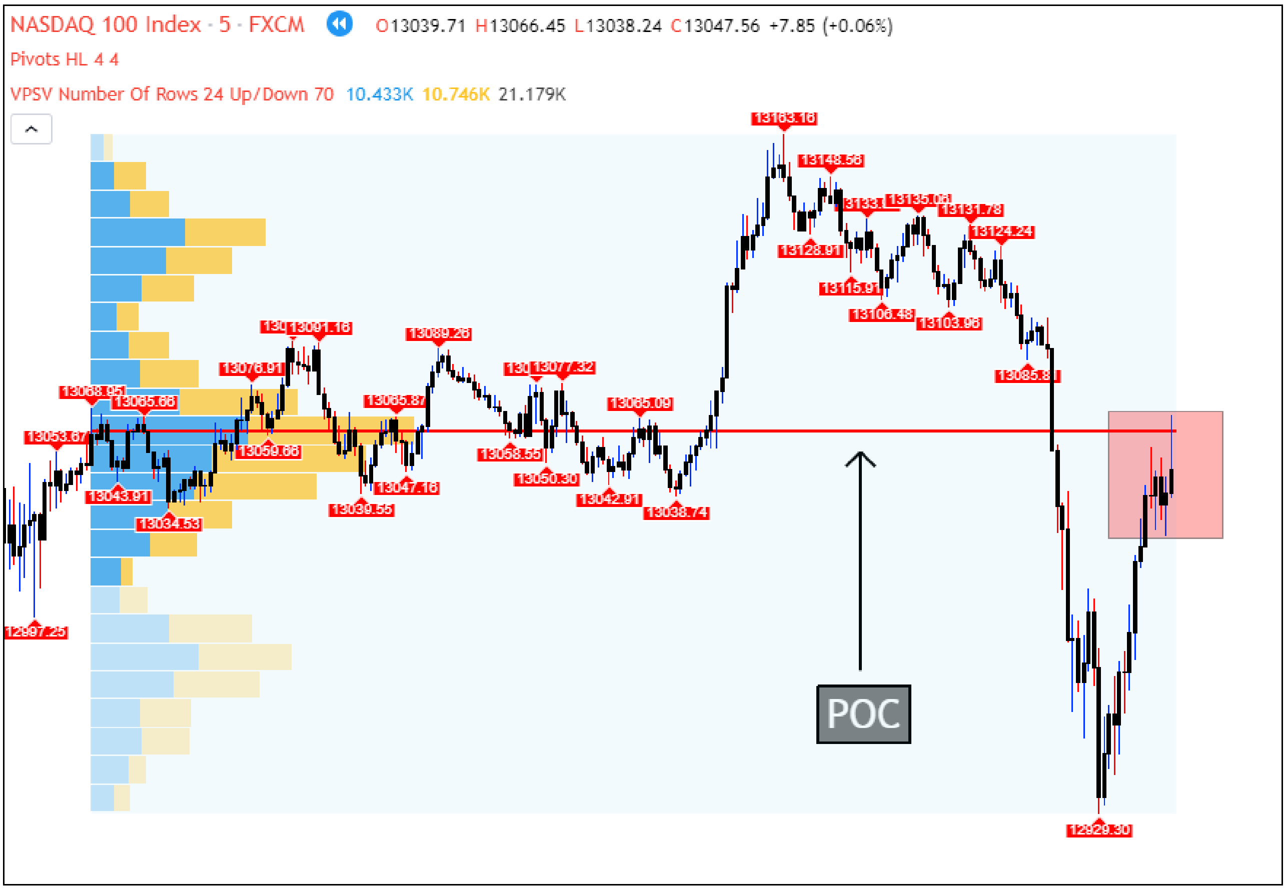
What will interest us here is especially the POC.

The POC will allow us to know if the price can potentially make a pullback because it is on a major threshold.

We will therefore monitor the POC permanently to confirm a potential pullback.

The volume profile is like this that you had the classic volumes but directly linked to the price, which allows you to anticipate more quickly potential pullbacks on the part of the price.

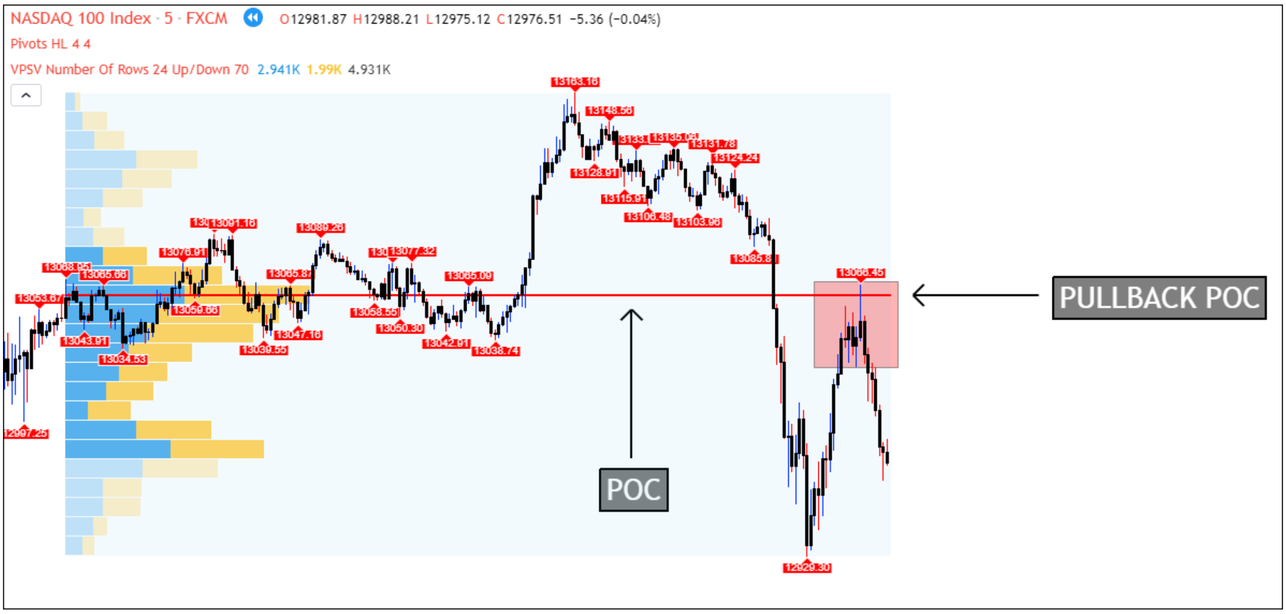
It is a formidable tool when you have learned how to use it correctly.



Here the price structure was selling.

To confirm the pullback, we check with the volume profile if the price meets the POC and validates the pullback.

- The price is forming several exhaustion candles on the POC and we therefore expect a pullback which will lead to a new phase of bearish momentum.



The price respects the theory of Dow and forms a new phase of downward impulse.

It is said that there was a pullback on the POC of the volume profile.

Important: the example was carried out during the US trading session.

Always remember that it is important to take advantage of the flow to enter the trade and exit quickly.

PART 4 : ENTRIES, SL, TP AND THE 1:5 RULE

Before tackling the last part which concerns the entries and which will show you how to align all the tools, I need to make a slight parenthesis on the risk to reward so that you increase your success rate.

On the NASDAQ, we will only be focused on trades with a R/ R of at least 1:5. 1:5 is the minimum, not less.

Even if you have a good technical setup, you should ignore the setup if it is below 1:5.

The NASDAQ is very volatile, so the R/ R is imperative.

In the currency market, I will focus on the setups with a R/ R of 1:3, but things are different because the volatility is different.

And while the risk is not nonexistent, it is much easier to get out before our stoploss is hit.

It is for this reason that we will only take setups with a R/ R of 1: 5 and above.

In this way, it is impossible to lose with an R/ R of 1: 5 (even with a lousy success rate).

You will always be a winner if you stick to this rule.

As I often say, a good trader is above all a good risk manager.

If you lose 4 trades risking 1%, it only takes one trade with a R/ R of 1:5 to make + 1%.

Because -4% +5% = +1%.

At the same time, by focusing on important R/ Rs, you will feel more psychologically stable in your trading and you will be only focused on the best opportunities.

It is therefore useless to waste time and money with too risky opportunities that would disrupt your trading plan and all your efforts.

Always prioritize quality over quantity on the markets.

For example, if you take 3 trades per week on the NASDAQ and win on all of your trades, you earn a total of +15% by risking 1% on each of your trades.

Now let's take an opposite example.

If you are a bad analyst (it won't happen because you have read this eBook), let's suppose you lose 3 trades that is to say -3% (-1%, -1%, -1%).

You only need 1 winning trade over the other week to make +2%.

-3% +5% (winning trade) = +2%.

You are therefore covered more than 5X each time.

That's the magic of the R/ R...

Now let's discuss entries, stops and targets.

Please understand that we do not do scalping, at least not scalping as everyone understands.

This type of scalping doesn't work and trading 50 times a day will lead you to financial and psychological failure.

Human beings are not made to endure such psychological pressure and above all, doing more trading does not mean earning more...

We will once again focus on quality and not quantity.

You should know that there is only one good trade per day on the NASDAQ.

With time and experience you will develop a new meaning that will allow you to know when it is the right time to take a trade.

I do not believe at all in the "feeling" in trading because it is not a way to make money.

On the other hand, you will develop an intuition over time as a trader.

He is like a gold digger, with experience he knows where to draw and where not to draw.

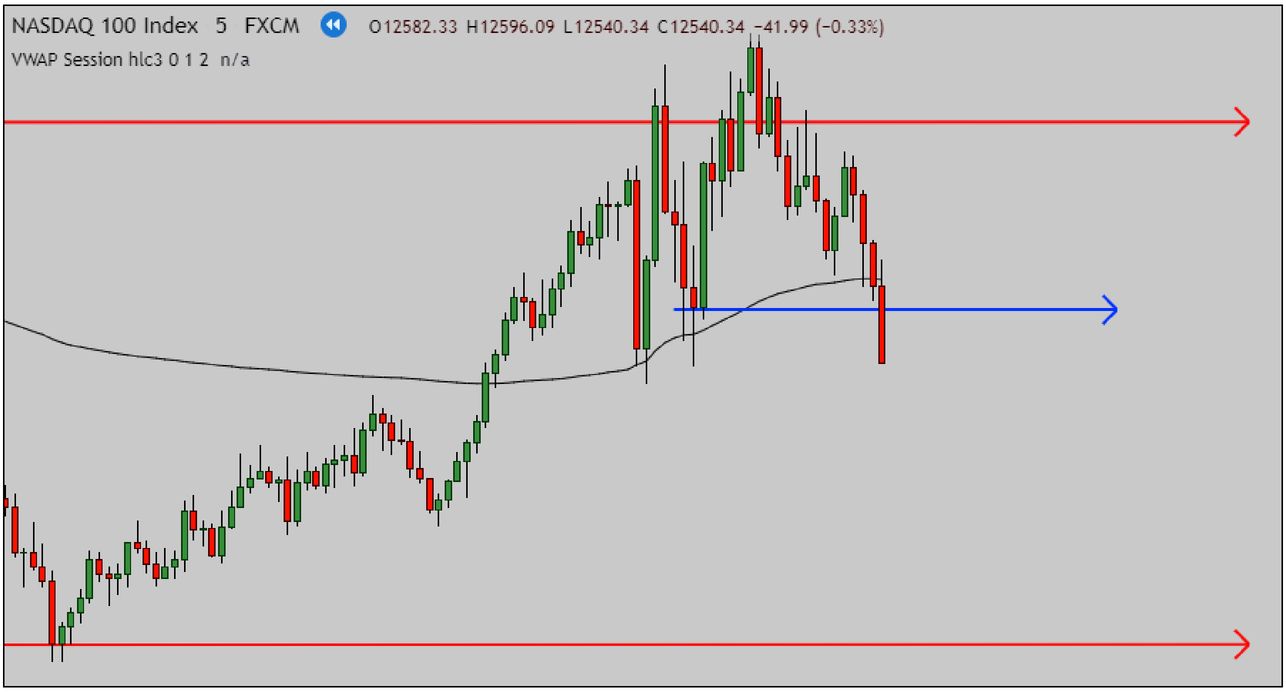
The best trade to take is around the US session, when you can take advantage of the momentum and when the price has all the necessary confirmations.

One trade per day is all you need on the NASDAQ.

Quality will make you free, overtrading will make you poor.

Traders who change strategies every week will never win.

They are doomed to lose...



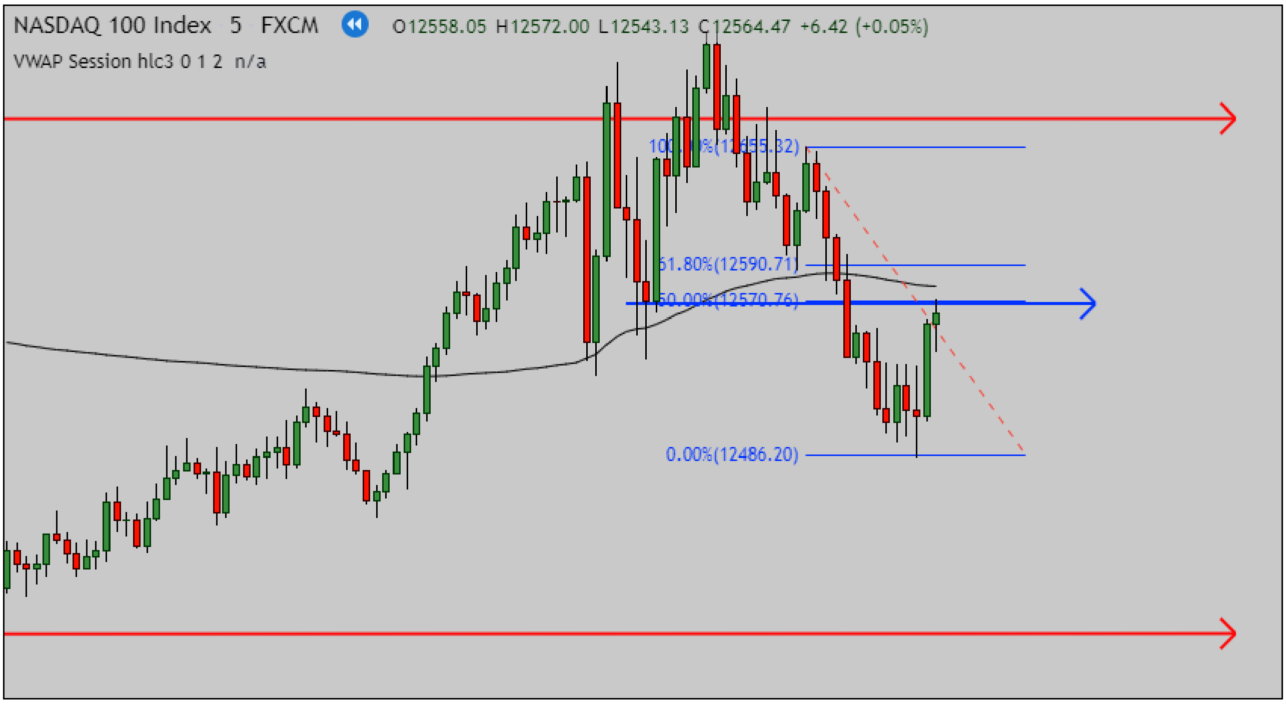
1 - Technical analysis

We are here on the NASDAQ. The price has formed a lower low.

The two red arrows represent the top and the bottom of the square.

We wait for the price to form:

- A BOS, an overlap, a VWAP retracement and a 50% Fibonacci retracement or more.



2 - Confirmations

Price has retraced back to the 50% of Fibonacci and potentially forms a new bearish pattern.

But that's not enough, we need more confirmations otherwise it would be too simple...

We therefore wait for the price to give us the remaining confirmations so that we can enter the trade.

3 - Entries, SL, TP, RR

Here we have all the confirmations that we wanted:

- A BOS.
- An overlap.
- A VWAP return.
- A 50% Fibonacci retracement.
- Exhaustions on the candlesticks.

We therefore enter the trade.

4 - Trade management

The trade is heading towards the target without drawdown after presenting all the confirmations to sell.

It is a trade based solely on the price action.

Remember to take part of your profits before your target to secure your profits.

5 - Risk management

The trade is valid because the R/ R here is 1: 5 as recommended.

You risk 1%, you win 5%.
You risk 2%, you win 10%.
You risk 3%, you win 15%.

Tell a trading floor trader that you are making 15% on a trade, he will find it hard to believe you... Yet here it is possible.

95% of the setups I take from the markets are short trades.

I am much more comfortable selling than buying.

That doesn't mean you can't buy on the NASDAQ, far from it.

But that's my natural bias.

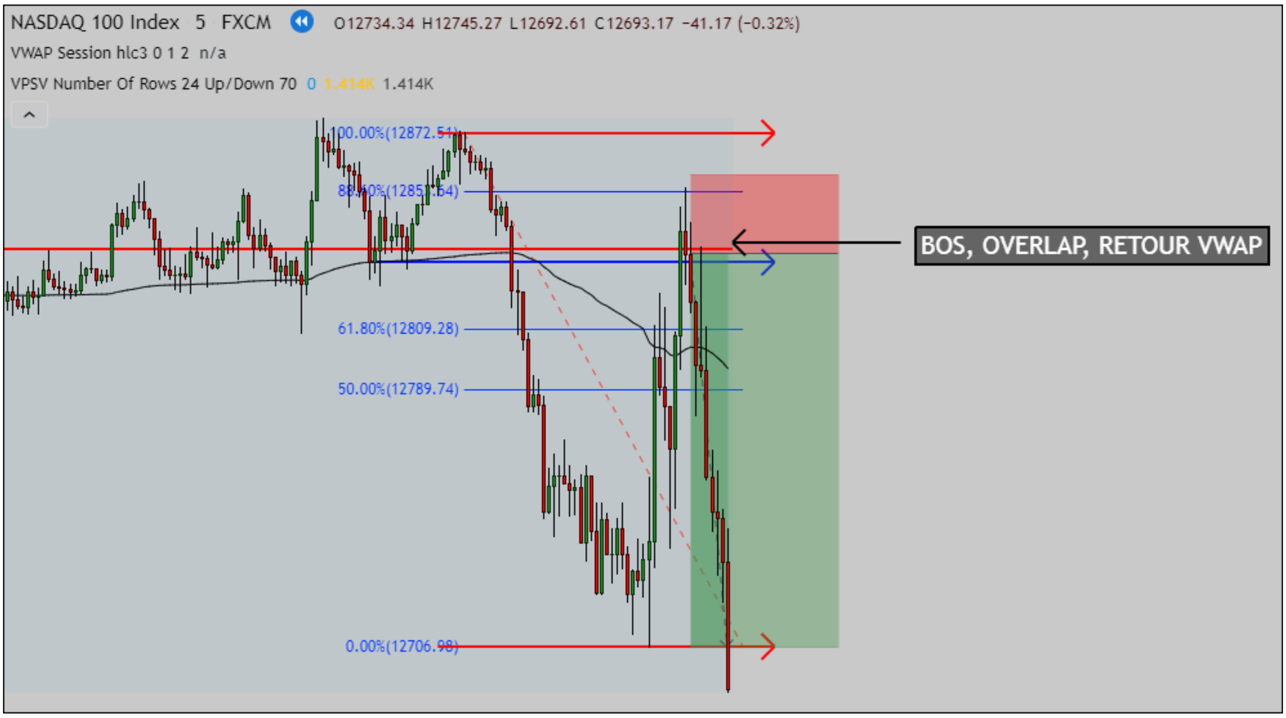
And remember that the market falls much faster than it goes up because the sale is associated with bad news, fear, anxiety etc...

So when trader 1 sells, very often trader 2 and trader 3 will call and the market will fall faster.

Example n°2

We are potentially expecting a short trade here, confirmed by:

- A BOS.
- An overlap.
- A VWAP return.
- At least a 50% Fibonacci retracement.
- Exhaustions on candlesticks.

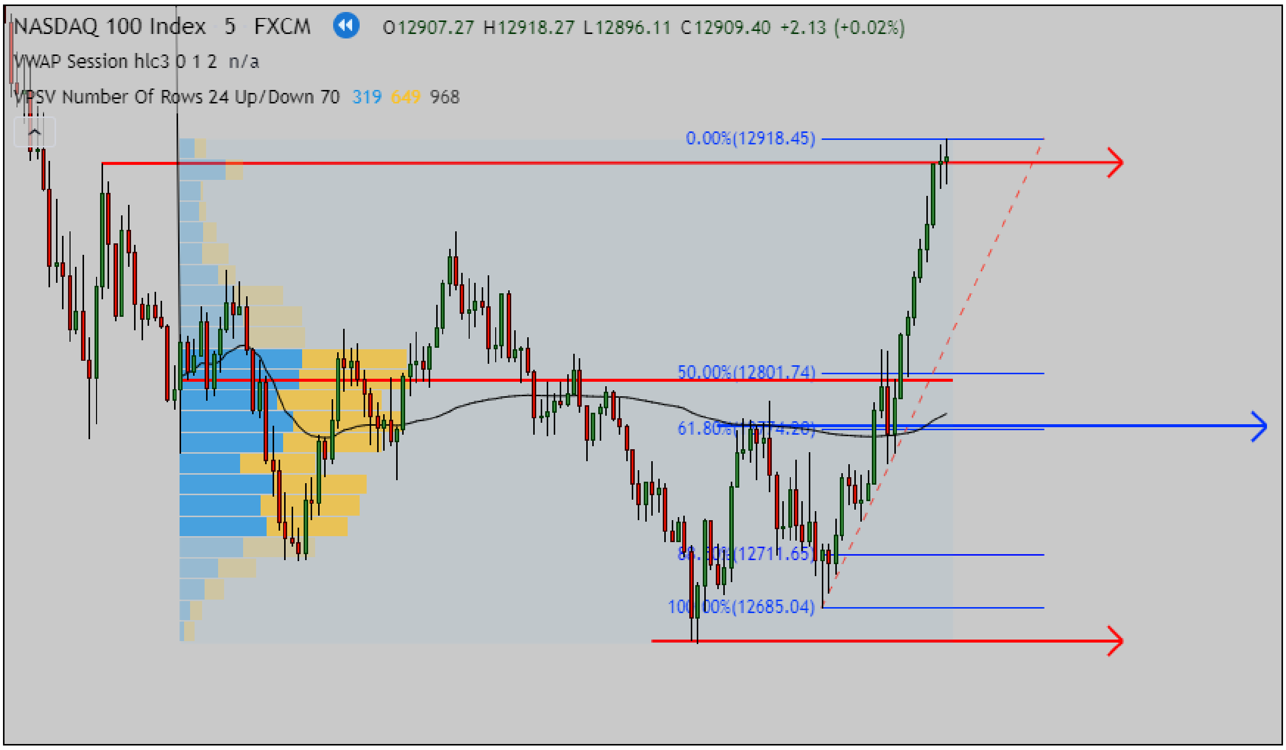


Trade management

The trade has exactly bounced off the last low point to form a new high point.

The last low point was at the level of the POC and the VWAP which shows that it was a key point in the structure.

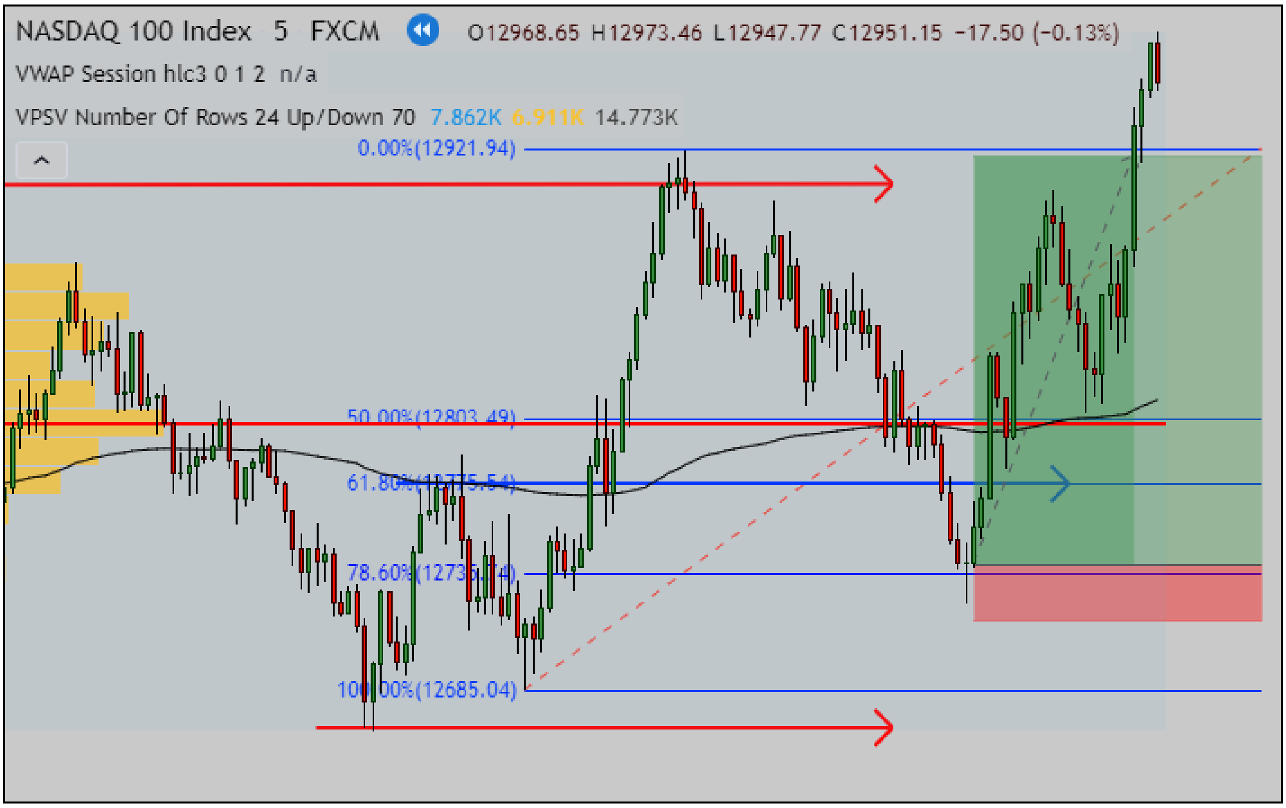
The trade then goes in the right direction without a drawdown.



Example n°3

We are potentially expecting a buy trade here, confirmed by:

- A BOS.
- An overlap.
- A VWAP return.
- At least a 50% Fibonacci retracement.
- Exhaustions on candlesticks.



Trade management

The trade has exactly bounced off the last high point to form a new low point.

The POC and the VWAP act like a magnet.

This is a no drawdown trade with a R/ R of 1: 7.

Backtest and trade in real life to see the effectiveness of the concepts I have presented to you.

With experience, it will sometimes only take a few minutes to identify this type of setup.

Warning: I told you that there was only one good setup to take per day.

That is true.

But you don't have to force yourself to find a setup, which is different.

If there is nothing, do not trade.

Sometimes not trading is also winning.

What I advise you is to spend time to analyze your setups well before taking them and ask yourself if it is legitimate to trade according to the confirmations that you have in front of your eyes.

If it is not opportune to trade, be patient...

Professional traders trade to make money, not to get emotional.

If you understand this simple phrase, welcome to the winning traders area (once again)...